Reshuffle: Who wins when AI restacks the knowledge economy

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1. AI as a Systemic Force

Shift from "intelligence" to "impact": The key question isn't "How human-like is AI?" but "How does AI restructure systems?"

Beyond task automation: Like containerization transformed trade, AI transforms **coordination**—how decisions are made, tasks are aligned, and value flows through systems.

AI as a coordination technology: Its strength lies in reducing friction across fragmented actors, creating unified models, and enabling consistent action without consensus.

2. Coordination as the New Economic Core

Past precedents:

- Containerization unified shipping and restructured global trade.
- Airbnb standardized trust and unlocked a new market for hospitality.
- Shein coordinates supply and demand in real time by algorithmically unbundling and rebundling roles in fashion.

Coordination flywheel: Better coordination → more specialization → more fragmentation → need for better coordination → systemic growth.

3. Jobs and Work Under AI

System vs. task perspective: Jobs are bundles of tasks shaped by systemic constraints. When constraints shift, roles lose relevance even if tasks remain valuable (e.g., typists after word processors).

Unbundling & rebundling: AI breaks jobs into modular tasks and reassembles them into new roles (law firms, fashion, radiology).

Above vs. below the algorithm:

- *Above*: those who design, own, or exploit algorithms capture outsized value.
- *Below*: those managed by algorithms lose differentiation and bargaining power.

Constraints as sources of value:

- *Scarcity-based* (skills, resources),
- *Risk-based* (judgment, liability),
- *Coordination-based* (alignment).
  As AI removes scarcity, risk and coordination become new value centers.

4. Knowledge and Power

Tacit → explicit knowledge: AI can codify what was once trapped in experts' heads, redistributing access to expertise.

Knowledge as capital: Once unbundled, knowledge becomes:

- *Rentable* (on demand),
- *Recombinable* (modular across domains),
- *Scalable* (near-zero marginal cost).

New moat: Not expertise itself, but leverage—how effectively you recombine and deploy knowledge.

5. Risk, Judgment, and Human Roles

AI introduces risk-based constraints: As constraints are removed (e.g., Airbnb scaling hosts), new risks emerge (safety, liability). Value flows to those who manage them (insurers, regulators, curators).

Judgment as enduring advantage: Making high-stakes calls under uncertainty and bearing liability remains a human differentiator (e.g., anesthesiologists).

Narrative control: Framing problems and curating knowledge will matter more than having answers, since AI produces answers in abundance.

6. Platforms, Ecosystems, and Power Shifts

Tool vs. solution providers:

- Tools amplify performance but don't absorb risk.
- Solutions guarantee outcomes by managing constraints, shifting power to those who assume liability.

Lock-in risk: Building on someone else's AI (e.g., Uber relying on Google Maps) cedes control to tool providers.

AI in ecosystems: AI enables coordination without consensus in fragmented industries (e.g., construction, agriculture).

7. Strategic Playbook for the AI Economy

Don't start with automation: Start with systems—what has changed in value creation, coordination, and constraints.

Exponential change comes from cascading coordination, not compounding speed: Each solved coordination problem expands scope, creating new industries and restructuring old ones.

Future advantage: Those who manage constraints, design coordination architectures, and curate knowledge will capture the most value.

8. Societal Implications

Growth vs. inequality: AI expands the pie but also reshapes who keeps which slice, often increasing inequality.

Reskilling myth: Skills alone aren't valuable; only skills tied to system constraints matter. Chasing new skills without understanding shifting constraints risks irrelevance.

Human imagination: Optimization alone collapses diversity. Long-term advantage comes from preserving domains where human creativity, interpretation, and deviation matter.

👉 The book's **core innovation** is reframing AI not as an automation tool, but as a **coordination engine** that restructures systems, redistributes value, and shifts where human judgment and creativity remain essential.

Appendix: Excerpts

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The techno-optimists point to AGI, the skeptics dismiss even that which already works well. The real story, though, isn't in technology. It's in the system within which the technology is deployed.

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The fundamental mistake is judging AI by how human it seems, rather than by what it can do. This 'intelligence distraction', constantly searching for human-like traits in AI, keeps us from focusing on the economic and systemic implications of its actual capabilities. It prevents us from asking the right question: Is it effective at what it's supposed to do?

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What really matters is performance. AI is better understood as a focused, practical utility that integrates into workflows and reshapes how decisions are made. With that, it changes the structure of the system into which it is introduced.

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Navigation tools like Google Maps may not seem as impressive as AI tools like ChatGPT, but both perform the same five core functions: they sense the environment, create a working model of the world around them, reason and act based on this model, while constantly learning and updating the model. For Google Maps, the model is a simplified map of physical space that helps it predict the next turn; for ChatGPT, it's a dynamic map of language patterns that enables it to predict the following sequence of words.

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AI's impact is often framed in narrow terms - what work it replaces, what jobs it threatens, and how it boosts productivity. However, the real impact of AI comes not from how it performs a task, but from how it restructures the entire system around that task. Google Maps has made driving easier for individuals, but it has also redefined urban mobility, transformed logistics, and enabled entire industries, such as ride-hailing, to emerge.

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When AI enters a system, it alters the economic logic of that system. It changes how value is created and who gets to capture it.

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Most of us view maps as a means to interpret the spaces around us. We often miss how maps transform those very spaces. Like maps, AI tools may help us analyze and make sense of our work, but they hold far more power in reconfiguring the systems within which that work is performed. Much like recommendation algorithms on YouTube or TikTok ultimately shape culture and influence elections, AI tools shape and change how economic and social systems are structured and how they operate. Instead of asking How smart is the machine?, we should shift our frame to ask What do our systems look like once they adopt this new logic of the machine?

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To understand the true impact of any new technology on an economy, an organization, or society at large, we must first examine how it alters the fundamental interactions within the system.

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In the 1960s, back in the early days of containerization, Singapore made a bold bet on the potential of that unassuming steel box. It built deepwater terminals to handle containerized cargo, drafted customs regulations to expedite trade, and linked its port to global supply chains via land and sea. The entire economy reoriented around a simple steel box, transforming Singapore into one of the world's busiest and most efficient ports.

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The speed of shipping increased dramatically as cranes could accomplish in hours what would have taken days with the manual effort of dockworkers. Factories no longer needed to be near customers.

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This great economic reshuffle conferred power on those who mastered logistics, built infrastructure, and plugged into global supply chains.

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the real revolution was that containers forced an entirely new form of coordination, making shipping more reliable and predictable in the process.

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The first breakthrough was the single, integrated contract that came with the container.

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A unified contract enabled coordination across different modes of transportation. Coordination, though, wasn't just about contracts. Containers also needed to move physically across ships, trucks, and trains without ever being unpacked. That required standard sizes, and standardization didn't come easily.

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The breakthrough came when McLean, relentless as ever, pushed for standardization during the Vietnam War. This conflict created a unique testing ground for containerization as the U.S. military faced unprecedented logistical challenges. The U.S. military required a method to transport massive amounts of supplies to prevent shortages, and containerization proved to be essential. The military's adoption of standardized shipping containers for wartime logistics demonstrated its effectiveness at scale and accelerated industry-wide acceptance. Governments and international standards bodies soon stepped in, pushing for uniformity. Compliance with standardized container sizes soon became the price of entry into global trade. Those who resisted found themselves locked out.

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While neighboring ports focused on automating cargo movement, Singapore invested in ensuring reliability across the entire logistics network.

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Singapore integrated its customs and clearance process to eliminate other bottlenecks that were slowing down the movement of goods. Unlike other ports, which positioned themselves as an endpoint in the shipping journey, Singapore built out an integrated transport network across road, rail, and air to create a unified transit hub. The country positioned itself as a neutral, well-governed trade hub, building legal and diplomatic frameworks to attract major shipping alliances and multinational firms. More than anything, Singapore made reliability the product it sold to the world.

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Hotels were predictable; the experience was standardized. Yet, somehow, Airbnb had made the unpredictable predictable. It had created a reputation system, supported by reviews and verified identity, that allowed total strangers to trust each other enough to stay in each other's homes. Trust was no longer based on mutual relationships; it was managed through a central reputation system, enabling coordination and economic exchange among strangers on that basis.

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This wasn't software eating the world - it was coordination eating complexity. Airbnb won by standardizing trust, Stripe by simplifying financial complexity, and Tesla by eliminating charging uncertainty. The most transformative companies don't just build better tools; they solve coordination problems that unlock new forms of economic activity. Technology only helped you play the game, but solving the coordination problem helped you win it.

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In Shein's world, the moment customers scroll past a trend, its supplier network gets activated in response. On the demand side, every smartphone interaction - browsing, shopping, scrolling - feeds Shein's algorithms. On the supply side, these algorithms manage work allocation across its network of connected garment factories.

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The more fragmented the system and the more diverse the incentives of the players, the greater the value in aligning them to work together. Coordination, once a deadbeat managerial function, is now the most valuable function in the modern economy.

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Coordination often breaks down in ambiguous environments where the rules aren't fixed. An API might automate a payment between companies, but it won't help two procurement teams renegotiate a supplier contract in the middle of a supply shock. A logistics platform might assign drivers efficiently, but it can't resolve a dispute between two regional managers with conflicting priorities. These systems falter when coordination depends not on clear rules but on judgment and interpretation. Much of that still lives in human minds as tacit knowledge that resists codification.

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Today's platforms excel when coordination can be reduced to clean inputs and repeatable actions, but break down when coordination gets more complex.

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This is precisely why artificial intelligence (AI) matters - not so much as a tool for improving productivity through automation, but as a mechanism for coordinating what has so far remained uncoordinated.

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Viewed as a narrow, practical utility, AI works through five essential steps: it observes the world, creates a working model of it, reasons through possible choices based on that model, acts on those decisions, and learns from the outcomes to improve over time. These five functions, primarily based on the ability to observe the world and create a working model of it, make AI particularly well-suited to solve coordination problems.

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Coordination depends on developing shared understanding, making timely decisions, and executing consistently across fragmented actors. AI's ability to model a domain and align intent and action reliably with that model makes it particularly well-suited for coordination.

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The real promise and potential of AI lies in whether it can extend coordination into thus-far uncoordinated segments of the economy. In this sense, AI's real power lies not in automating individual tasks but in coordinating entire systems.

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AI's ability to identify patterns, make predictions based on them, and continually learn from outcomes may not create human-like intelligence, but it creates something arguably more valuable and practical: the ability to adapt in response to uncertainty. It learns from feedback, adjusts to changing inputs, and continues to function even in noisy environments. When dealing with incomplete information, this kind of pattern recognition and iterative response turns out to be far more valuable than perfect reasoning.

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Two factors contribute to how AI enhances both the capacity and coordination required for knowledge work. First, AI reduces the cost of task execution. Tasks that once required expensive experts can now be performed more efficiently, at a lower price, and at scale. Equally important, but far less discussed, is AI's potential to lower coordination costs: the hidden friction that arises when people and resources need to be aligned to get something done. In most knowledge work today, that alignment is a struggle. Information lives in a dozen places at once, across emails, chat threads, spreadsheets, and specialized tools. That fragmentation keeps work from getting done, as the people or teams involved must constantly align their activities to ensure effective collaboration.

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AI can help bridge this gap by making sense of the unstructured information each player holds, building a shared model across them, and delivering the right insights to the right people at the right time.

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Dimension	AI as automation	AI as coordination
Core premise	Replaces or accelerates human task performance	Aligns fragmented actors toward shared outcomes
Focus	Task-level productivity gains	System-level performance and reliability
Value driver	Speed, cost reduction, efficiency	Predictability, interoperability, ecosystem leverage
Economic outcome	Replaces labor, lowers marginal cost	Restructures value chains, unlocks new specialization, changes market scope
Constraint addressed	Capacity constraint (doing more with less)	Coordination constraint (making parts work better together)
Strategic leverage	Superior task performance	Ecosystem orchestration and centrality
Long-term impact	Displaces specific roles or tasks	Enables new workflows, industries, and business models
Design logic	Optimize the part	Re-architect the system
Paradigm of intelligence	Task-optimized intelligence (benchmark performance)	System-integrated intelligence (structural adaptation across actors)

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AI's real potential lies not in automating tasks, but in reconfiguring how systems operate. It's easy to mistake the rise of AI as a story of more 'intelligent' tools, just as many once saw containerization as a story of faster and more efficient port operations. The container's impact, however, extended far beyond the port to the design of the entire system of trade surrounding it.

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all coordination requires unified representation, a common way of perceiving the environment. A self-driving car operates very differently from a travel-planning voice assistant and utilizes very different technologies. Yet, both rely on AI's ability to observe and construct a working model of the environment by taking in different types of information and creating a unified, structured view of the environment. This ability to make a shared structured representation establishes the basis for coordination.

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What makes AI powerful is its ability to coordinate without upfront consensus.

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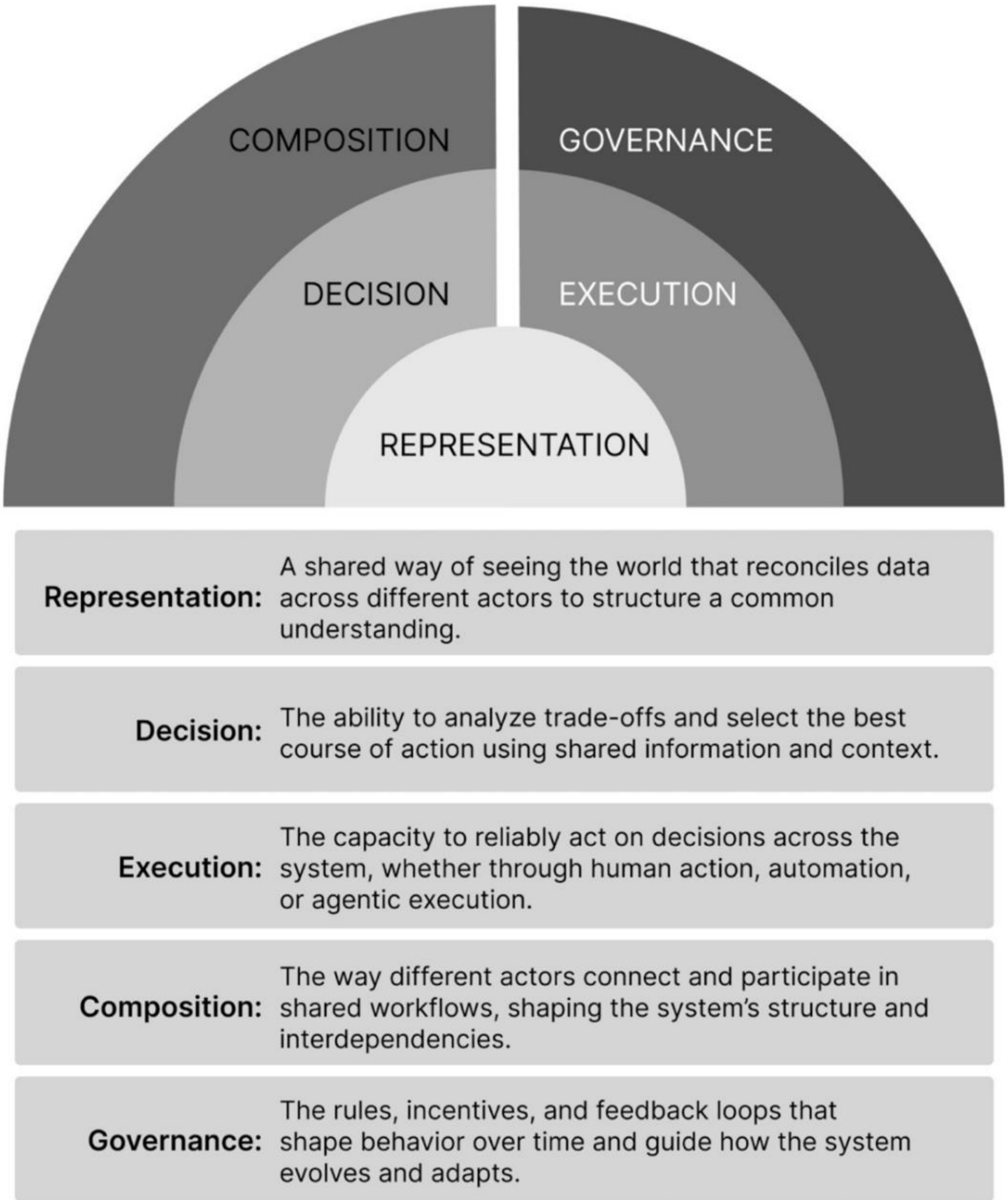

Coordination is often described in vague terms - alignment, timing, a method to madness - but in practice, it's built on these five specific levers: who sees what, who decides, who acts, how parts connect, and who writes the rules of participation. Together, these five factors – representation, decision, execution, composition, and governance – establish the basis for effective coordination.

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AI, in this context, offers a new architecture for coordination - the ability to coordinate across a highly fragmented ecosystem without requiring consensus.

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Improved coordination across components drives higher performance of every component through specialization, and deeper specialization demands further coordination. This flywheel - coordination driving specialization, specialization driving fragmentation, and fragmentation demanding even better coordination - is what fuels economic growth.

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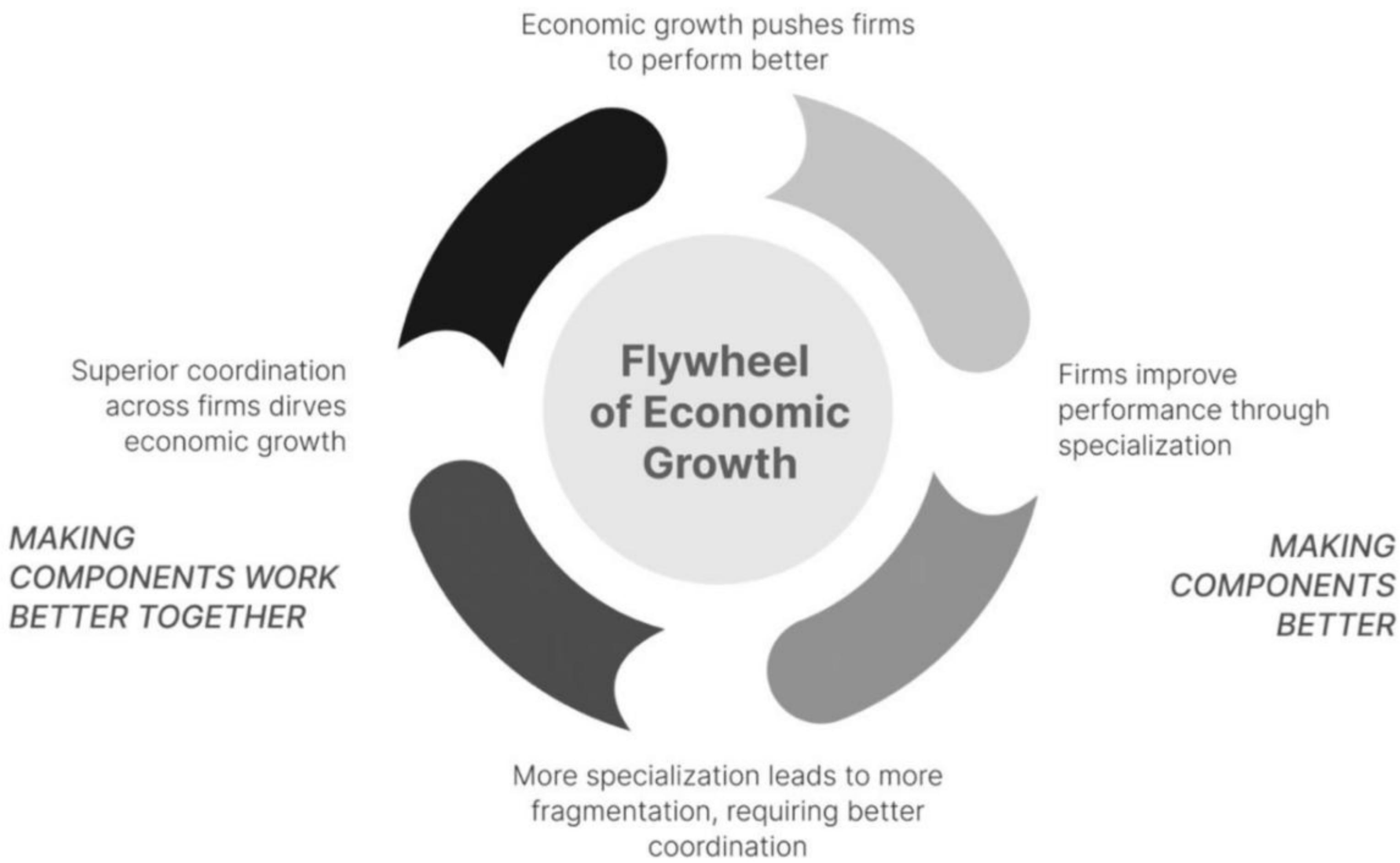

AI’s greatest impact won’t come from automating tasks but from lowering coordination costs so dramatically that innovation can scale effectively without central control.

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This is the secret to exponential system change: not compounding acceleration, but cascading coordination.

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Compounding is about scale; cascading effects drive scope expansion. The first breakthrough may look like cost savings, but the second creates new industries. By the time the third breakthrough materializes, all economic activity is restructured. With each solved coordination problem, new layers of activity are unlocked and the system’s scope expands.

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10 TAKEAWAYS

AI's true economic impact doesn't come from automating tasks, but from coordinating across fragmented systems, unlocking entirely new flows of value.

1. The most valuable companies today don't own the means of production; they own the means of coordination.
2. AI's core economic value lies in reducing coordination friction, not replacing human intelligence.
3. Coordination involves aligning actors with divergent incentives.
4. Coordination without consensus is AI's superpower. It aligns fragmented actors before they agree on standards or speak the same language.
5. We overvalue AI's 'automation' power because we underestimate the role of coordination in the evolution of economies.
6. AI isn't just a teammate, it's the operating system for collective action - for teams, across teams, and most importantly, across firms.
7. Just as the shipping container made global trade reliable, AI makes knowledge work scalable.
8. Coordination drives productivity by enabling components to specialize and scale together
9. Coordination depends on five structural levers: representation, decision-making, execution, composition, and governance.
10. System transformation follows cascading coordination, not just compounding performance.

When new technologies change how people coordinate, they also change how work is organized.

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the story of the Maginot Line remains so relevant to understanding the impact of AI on work. Blitzkrieg succeeded by turning disconnected units into a synchronized system of warfare. AI does something similar, reconfiguring how work is coordinated, not just replacing or enhancing individual jobs. Like the Maginot Line, the phrase “AI won’t take your job, but someone using AI will” offers a false sense of agency, but it’s built on assumptions that no longer hold. The problem with this framing is that, although it sounds seemingly right, it directs attention to the wrong level of analysis.

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When AI changes the system, the job bundle gets unbundled, and the constituent tasks are reassembled in new forms. The same tasks may still exist, but they may no longer hold value in the new system. And even those that do will be rebundled into fundamentally new job bundles and roles. These new roles emerge in response to a new system. The impact of AI on jobs is, then, determined not just by AI’s impact on the job’s constituent tasks but by AI’s impact on the larger system of work.

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The right unit of analysis, then, isn’t the tool or the task but the system that gives it purpose.

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From a task-centric perspective, typists shouldn’t have lost their jobs. The task of typing that gave the role its name was still being performed, and if anything, typists were still more effective at typing than the average knowledge worker. A system-centric perspective tells a different story. It starts by recognizing that the typist role had emerged as a response to managing the costs of expensive editing. When those costs decreased and typing no longer required centralized or specialized resources, the architecture of the workflow changed. No amount of reskilling or adaptation would have helped the typist retain their job when the system no longer required a role organized around that task.

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Dimension	Task-centric view	System-centric view
Core belief	AI automates or augments individual tasks	AI reorganizes how work is coordinated across the system
Primary concern	"Will AI take my job or help me do it better?"	"Will the system of work change such that my role no longer exists?"
Unit of analysis	The individual task or job	The architecture of work, workflows, roles, and competition
Framing of job loss	A smarter tool may replace the person. Solution: reskill or use AI	The system no longer requires that job, as tasks get unbundled and rebundled
Change trigger	Adoption of a tool	Collapse of an old constraint and emergence of new coordination logic
Competitive impact	Productivity gains erode as everyone uses similar tools	Firms gain structural advantage by redesigning how they work and compete
Design philosophy	Plug AI into existing roles. Don't touch the system	Redesign the system of work to leverage AI's coordination capabilities

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The shift from task-centric to system-centric thinking enables us to understand not only how AI affects individual roles but also how it reshapes entire firms and the logic through which firms collaborate and compete with one another.

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Seen through this system-based lens, Amazon's use of robots was never about augmenting warehouse workers. It is in service of powering the fulfillment system that reinforces Amazon's strategic position. Amazon's fulfillment system, meanwhile, is a tightly coordinated organizational system - the middle circle - that performs by minimizing delays and maximizing throughput. To guarantee those service levels, Amazon needs to minimize human variability. Algorithms now play the role that people once did, deciding what to ship and when, across every warehouse and truck.

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In this light, workers and robots are mere components inside a fulfillment system that continually restructures workflows and reduces human discretion to drive greater consistency and predictability across the fulfillment chain.

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Automation versus augmentation, then, is no longer a helpful distinction.

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In the past, certain kinds of expertise only existed in people's heads. You had to ask the right person or dig through old forgotten emails and chat threads to find it. AI, today, can learn from those unstructured sources, including call recordings, old contracts, and chat threads, and make that knowledge available across the organization. In other words, AI makes tacit knowledge explicit, as previously buried or unspoken expertise now becomes searchable and reusable. A partner at a law firm might remember that a specific clause caused problems in a deal five years ago, but unless you knew to ask them, that insight would stay hidden. An AI tool trained on thousands of past contracts and negotiation notes can automatically identify that clause, highlight how it has been handled in similar cases, and propose better alternatives.

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AI takes what was once uniquely human, replicates it through trained models, and distributes it across the organization, making it widely accessible. When AI can be used to perform certain forms of knowledge work, the usual constraints of access to trained workers and their limited availability no longer apply.

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A law firm may now accomplish a lot more while hiring fewer junior lawyers. Senior lawyers, meanwhile, may spend more time on strategy and litigation. The pyramid structure of these firms, where junior lawyers worked their way up through grunt work, is already under strain. Workflows also change, as AI coordinates activities in new ways. The workflow no longer needs layers of assistants, reviewers, and managers. Tasks that once required meetings or intermediaries can now be coordinated instantly using AI.

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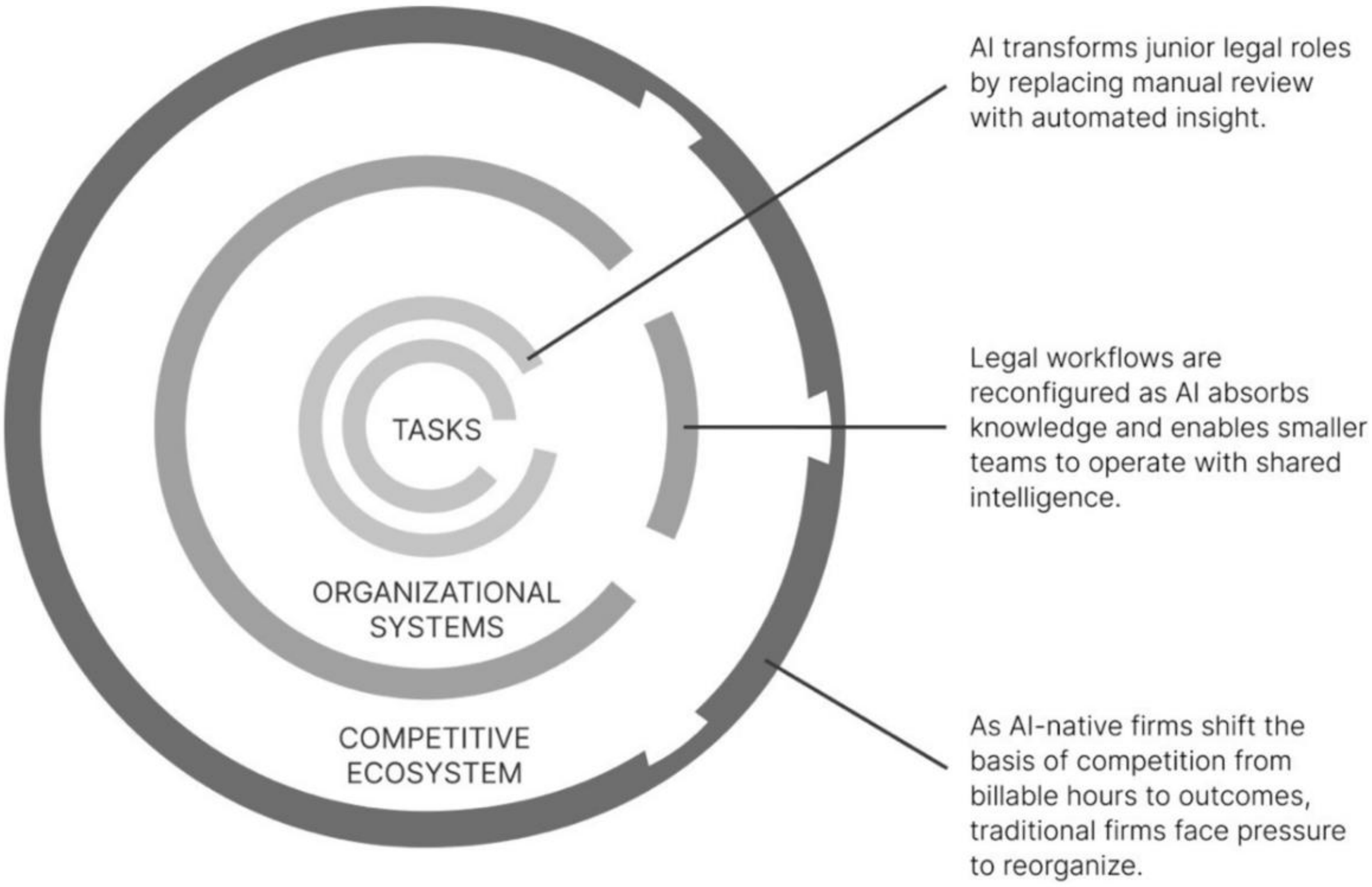

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As more firms across the ecosystem adopt these tools, the basis of competition begins to shift. Traditional pricing models, built around assigning more lawyers or billing by the hour, start to break down as task performance is no longer the bottleneck holding things back. At the same time, new competitors emerge as providers of 'legal technology' become advanced enough to offer services directly to clients, bypassing the professional services firms they once supported. These shifts in competition, in turn, push traditional firms to reorganize, restructuring their internal structures and the roles of their workers. As the basis of competition changes, the workflows supporting it, and eventually the jobs that get valued, change as well.

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This shift from unbundling through collapsing constraints to rebundling around a new coordination logic is not unique to the music industry. It's indicative of a broader cycle through which most systems are transformed.

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The fashion industry has traditionally relied on designers, merchandisers, buyers, and forecasters performing highly specialized jobs that require creative discretion. A creative director in a sleek office would sketch next season's trends. Buyers would fly to Milan or Tokyo to spot new trends. Forecasting trends was a craft. Fashion, in that world, was a bundled system of interlocking specialties. Each job was shaped by constraints of creativity and time. Shein unbundles these roles. Instead of trying to guess what customers might want months in advance, Shein relies on the firehose of social media as its algorithms scrape TikTok and Instagram for emerging trends. Instead of using moodboards to parse which silhouettes, colors, or cuts are gaining traction, Shein relies on engagement metrics. Those signals are then dispatched across a global network of freelance designers who work project by project, often anonymously, each receiving a specific brief and a tight turnaround. The designer's role isn't eliminated, but a previously cohesive job is unbundled into its component tasks, which are then rebundled algorithmically into something closer to a gig role, with significantly reduced creative discretion and a greater emphasis on speed and responsiveness. The buyers who travel the world to negotiate orders and place seasonal bets are replaced by algorithms, which predict demand and trigger micro-batches of production. The rebundled role is no longer that of a buyer, but more of a supply chain orchestrator.

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Traditional fashion companies relied on hierarchy to manage risk. Multiple layers of approval, seasonal calendars, and merchandising meetings were used as buffers to manage uncertainties associated with a long production cycle. Shein unbundles the organization by removing these slow coordination layers. With trend detection, design, and production orchestrated algorithmically, the very logic of coordination is inverted. There are no long meetings. No calendar resets. No handoffs from one silo to the next. Manufacturing, marketing, and merchandising are orchestrated in response to changes in demand. The rebundled organization operates without the constraints of traditional fashion.

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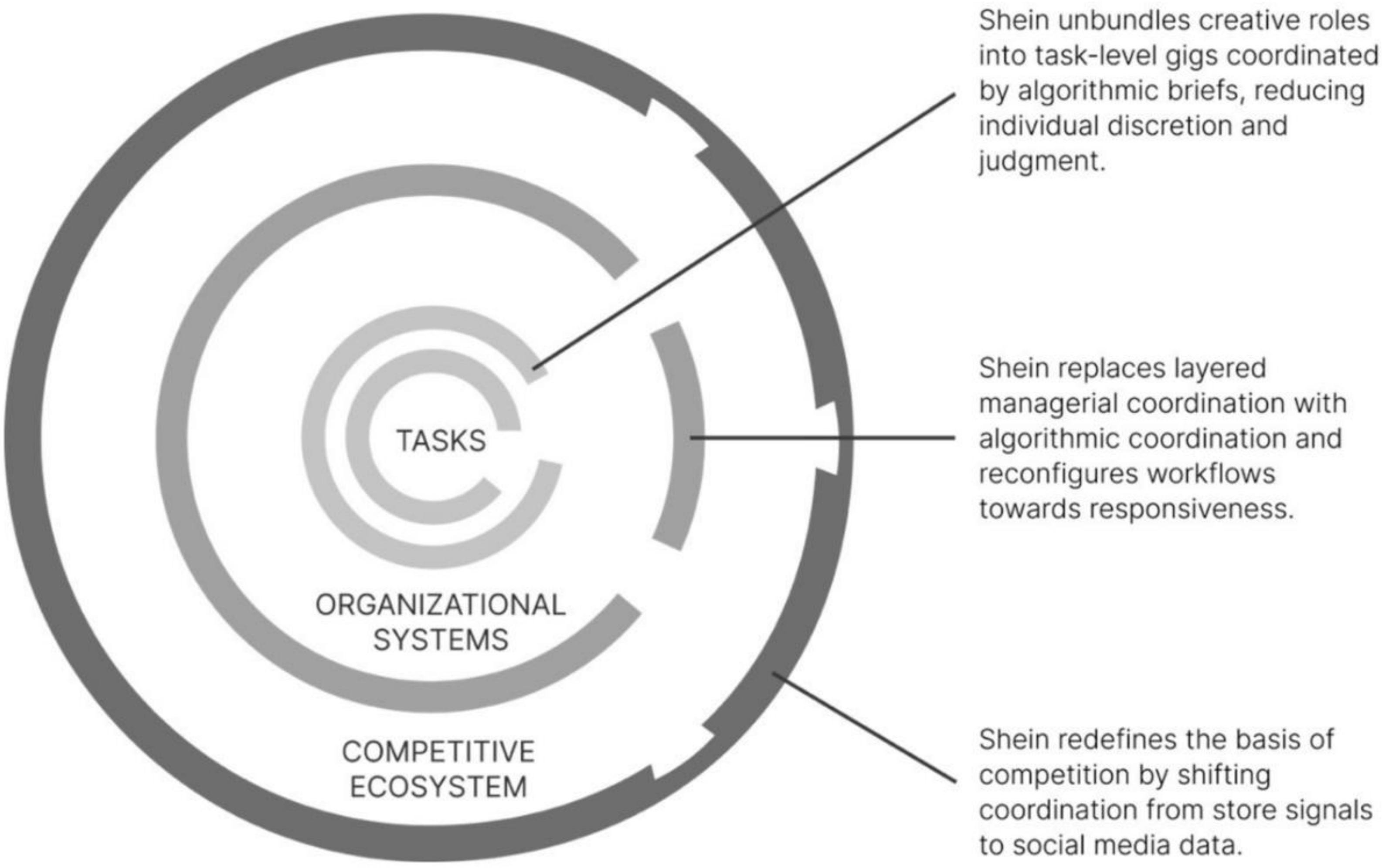

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Shein's rise is the inevitable outcome of a system where the old constraints of slow data, long lead times, and centralized decision-making have collapsed.

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Systems change when constraints are removed. However, not all constraints create negative friction. Some constraints are essential to create positive friction that makes economic activity meaningful. Human judgment and intuition might be slower to react than algorithms, but they are valuable and will only increase in value in a world of rapid execution. Shein's approach deconstructs judgment into metrics and outsources intuition to engagement data. Using task-centric framing, this might appear efficient. However, with a system-centric framing, we also realize that something valuable is lost. As fashion evolves, it is shaped by eccentric designers and regional aesthetics. Shein's algorithms, though, crawl the same platforms for the same signals. Style is no longer curated as it once was. Algorithms track what sells, and what they track gets made further. Traditional fashion would sell an identity, a lifestyle. Whether Shein does that is debatable; it seems more focused on hooking people into an infinite scroll.

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Algorithms speed up market feedback but can also collapse the diversity of thought and perspective that makes today’s industries resilient.

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The challenge, then, is about structuring tomorrow’s systems so that they retain room for interpretation and deviation. Long-term advantage won’t come from AI-aided automation and coordination alone, but from the clarity to separate what should be optimized from what must remain rooted in human imagination and intuition.

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10 TAKEAWAYS

AI doesn't simply automate or augment your tasks - it changes the entire system of work, restructuring the logic of roles, workflows, organizations, and most importantly, competition.

1	AI's value lies less in automating tasks and more in enabling new architectures of coordination and decision-making.
2	Jobs are design artifacts of a specific system of work. When that system changes, role relevance and structure must be reevaluated.
3	The automation vs. augmentation debate distracts us from the real shift: whether a role remains meaningful in a restructured system.
4	System-level improvements in coordination drive more lasting transformation than isolated task upgrades.
5	Competitive advantage doesn't come from adopting AI, but from redesigning workflows and governance to reflect the logic of the new system.
6	As AI unbundles tasks from roles, organizations must rebundle around new capabilities, constraints, and sources of value.
7	Firms must challenge outdated assumptions about how work should flow within and beyond organizational boundaries.
8	AI transforms tacit knowledge into shared, retrievable assets, changing how firms scale expertise and how teams collaborate.
9	AI changes the logic of industry competition by changing how firms operate, not just how efficiently they perform tasks.
10	The strategic question is no longer *'Can AI do this task?'* but *'What system of work should we build around AI's new capabilities?'*

The first-order effects of barcode technology played out in terms of efficiency, resulting in faster scans at checkout and lower labor costs. The second-order effects created greater leverage over suppliers and customers. The third-order effects, though, transformed retail forever.

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The barcode enabled a new form of coordination, allowing inventory planning and supplier negotiations to be orchestrated from a central system. This shift introduced a new architecture for retail, one where the entire network of stores could make coordinated decisions and benefit from economies of scale as a result.

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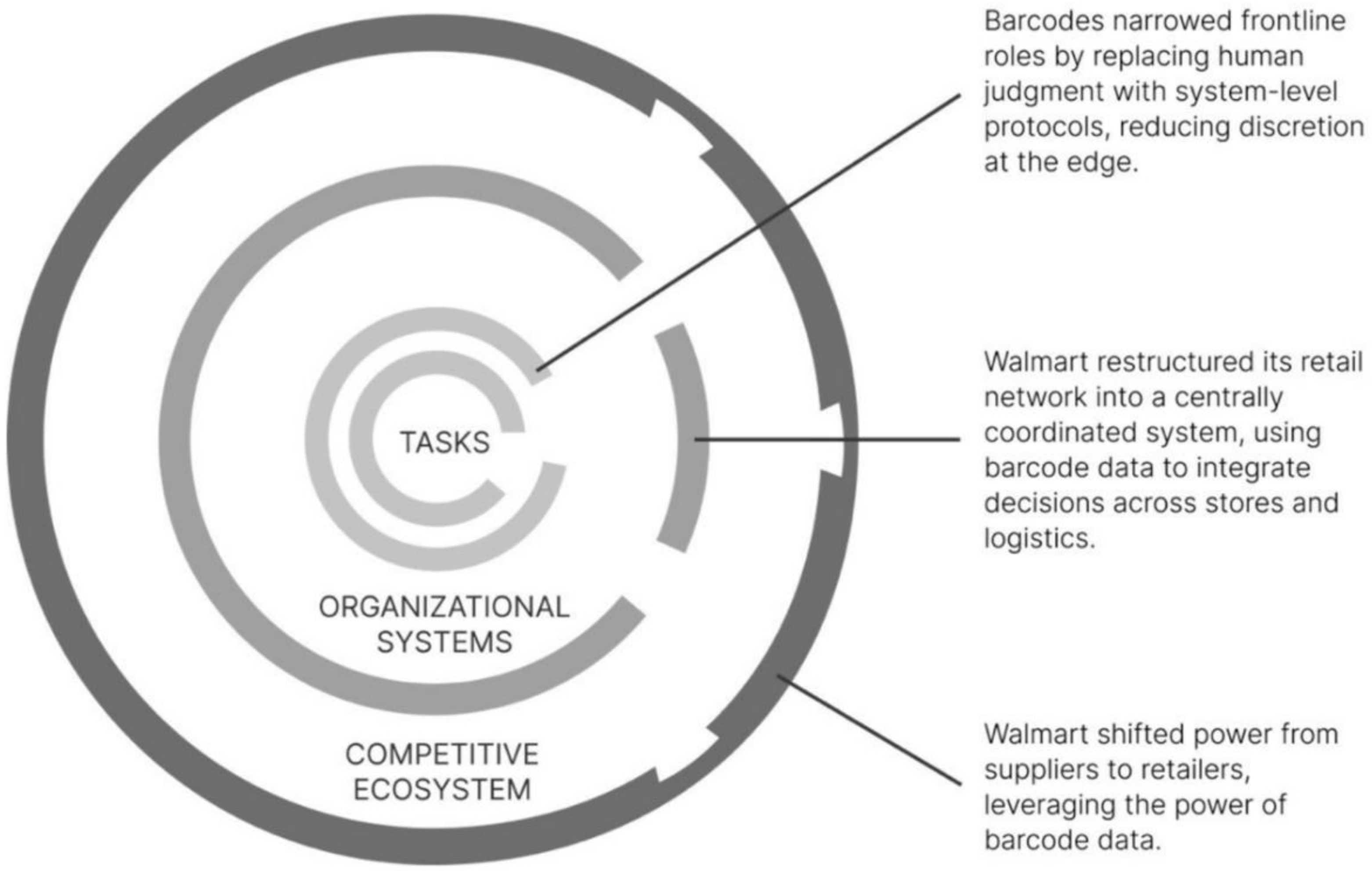

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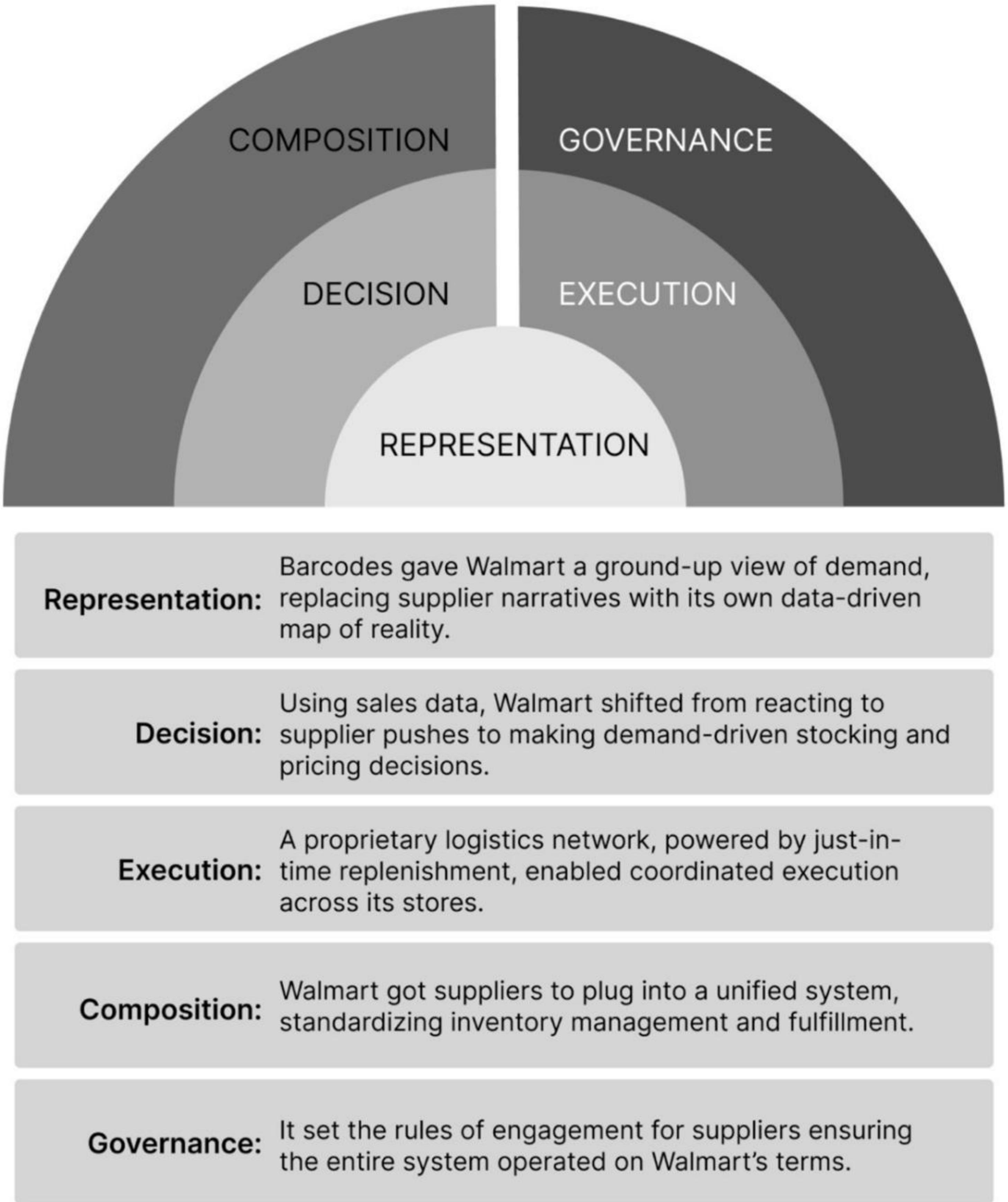

Coordination grows the pie, but it also changes who gets to keep which slice of it.

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When technology shifts, it doesn't merely add value; it also reorders the balance of power.

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A growing system does not mean shared prosperity. In fact, growth and inequality often rise together, because the very mechanisms that expand the pie also determine how it's divided.

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One of the clearest tensions arises between companies that utilize AI capabilities and those that provide them. To understand this tension, let's consider the case of Uber. In the early years following its launch, this popular ride-hailing solution heavily relied on Google Maps for its mapping capabilities, including routing and estimating arrival times. If Maps got the route wrong, the user blamed Uber. Meanwhile, Google (and its parent company, Alphabet) was learning from data generated by Uber and other customers of its mapping capabilities. Alphabet eventually launched competing ride-hailing services through its subsidiary Waymo, directly competing with Uber. This pattern, where tool providers gain leverage and move up the value chain, is now repeating in knowledge work. AI tools that once supported accounting, consulting, or legal firms are becoming sophisticated enough to bypass these professional services firms entirely, offering services directly to end customers.

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As AI lowers the cost of execution, it blurs the line between worker and owner, contractor and firm, and challenges long-standing structures of economic power. AI may help the big get bigger, but also lets the small act bigger than ever before.

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10 TAKEAWAYS

As AI reconfigures coordination, it introduces new tensions that redefine where and how competitive advantage is won.

1	A growing system does not mean shared prosperity.
2	Coordination creates power. A growing economy amplifies the returns to those who control the means of coordination.
3	Winning with AI requires shifting from optimizing tasks to reconfiguring how the entire system works. Adopting AI won't create an advantage unless you redesign your organization to leverage it effectively.
4	The most significant competitive gains come not from faster execution but from changing how decisions flow across the system and how new decision points create new centres of power.
5	Task efficiency is the visible benefit of AI, but the hidden prize is control over how others align with your system. You don't gain power by using AI; you gain it by defining how others must use it to participate as per your terms.
6	If you add AI without changing how coordination works, you're building leverage for the tool provider, not for yourself.
7	AI allows firms to achieve coordination and exert control even in the absence of traditional market power.
8	Owning the orchestration layer, defining how partners, users, or suppliers coordinate, becomes the new competitive moat.
9	The firm that controls the representation of reality controls the decisions that follow from it. The power to define reality gives rise to the power to control outcomes.
10	The more essential your system becomes to how others coordinate, the less substitutable you are.

by the late 1990s, labor markets were changing in ways the skill-biased model could not fully explain. Employment was rising at both ends of the wage distribution, among low-paid service roles and high-paid professional work. However, middle-income roles, such as administrative assistants and clerks, were losing out. This didn’t align with the idea that education alone determines job security. Instead, it pointed to something else: the kinds of tasks people did mattered more than just their level of education.

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This shift led to the development of the task-based framing of jobs, most notably in the work of economists David Autor, Frank Levy, and Richard Murnane.

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As task-based thinking gained traction, its limitations began to show, particularly with the rise of AI. The idea that machines would only take over repetitive tasks proved to be, at bes,t a comforting illusion. With the improvement of AI capabilities, tasks involving tacit knowledge, once considered safe, are no longer off-limits.

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in many cases, keeping a human in the loop becomes too expensive when AI can do the job faster and cheaper. And if only a few tasks are left for humans, or if full automation is more efficient, there may not be enough meaningful human work left to sustain a new role at all, once AI unbundles the older one.

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Much of the value associated with a job is not derived from the task alone but also from the system within which the task is executed.

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To understand how AI impacts our jobs, we need to distinguish between intrinsic value, economic value, and contextual value – the three forms of value associated with every task we perform. The intrinsic value of a task refers to the value it creates. It is often subjective and rooted in meaning. Economic value, on the other hand, refers to how much someone is willing to pay for the task to be performed.

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The third dimension of value, contextual value, refers to the value a task holds within a specific system of work. A task may have high intrinsic value but still low contextual value if the surrounding system doesn’t need it or has other ways to achieve the same outcome. Contextual value is not a measure of how difficult the task is or how much it pays. It is more a measure of how pivotal it is to enabling outcomes or influencing system performance.

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The task of typing retained its intrinsic value, but its contextual value collapsed in a system where edits and revisions were no longer expensive. With access to easy editing, less-trained workers - practically anyone - could now perform the task of typing, and the economic value associated with the task collapsed as well. As a result, the specialized role of the typist lost its unique position in the workflow.

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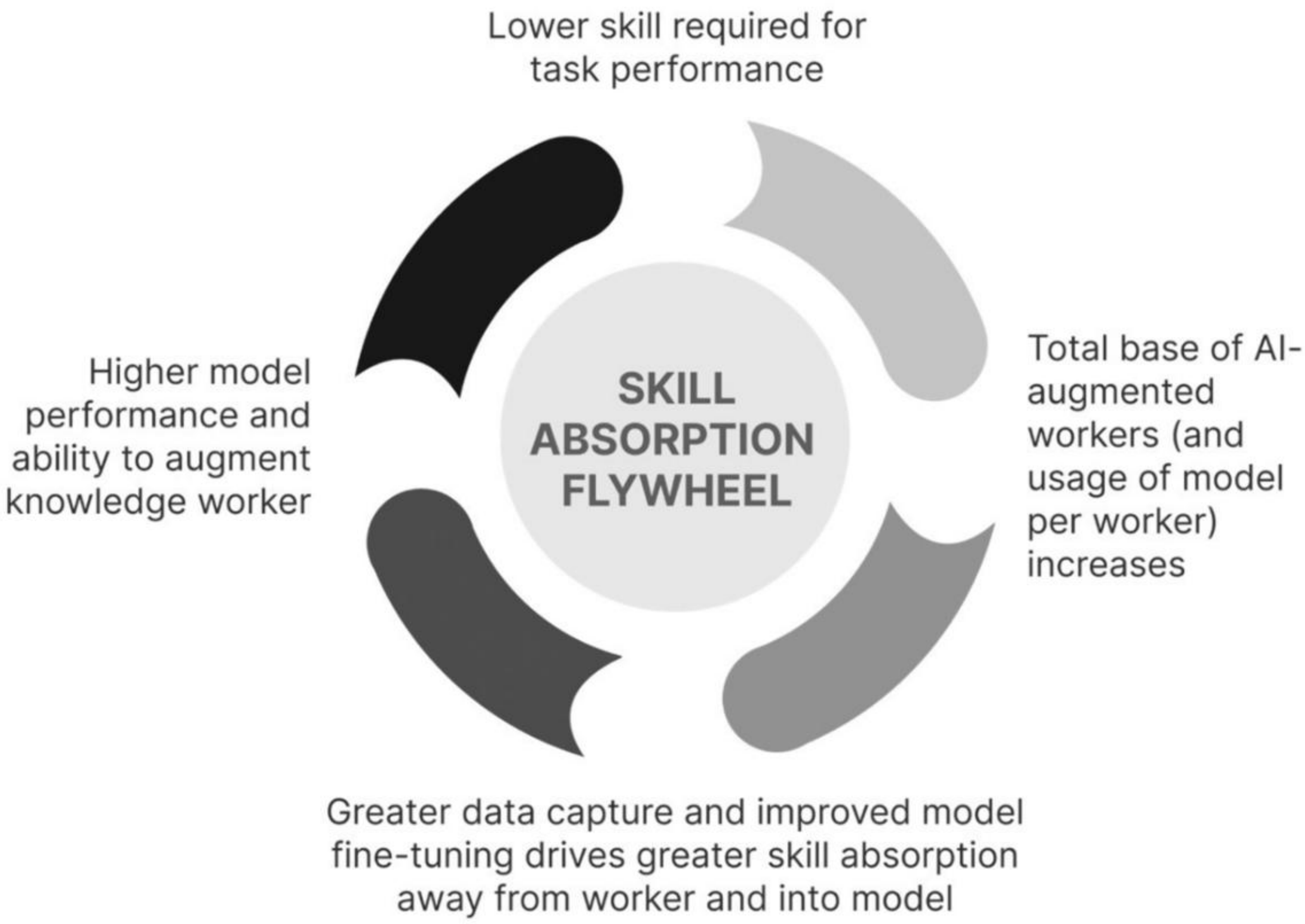

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Algorithmic market-making and job discovery are not inherently harmful. In domains where workers are differentiated, such as hiring a specialized chef, they can improve matching efficiency and unlock new forms of value for both workers and customers. The problem arises when a particular job loses its differentiation and ability to capture a skill premium. Centralized algorithms that control both access to demand and assignment of jobs squeeze out any last remaining source of premium that workers could have hoped to extract from their skills. These algorithms continually drive down economic value as they manage the entire market. And they drive down contextual value as the task is reduced to its bare minimum, making the worker entirely substitutable.

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In any algorithmically managed system of work, workers occupy one of two positions: above-the-algorithm or below-the-algorithm. Above-the-algorithm workers leverage the power of algorithms to gain outsized returns on their efforts. This includes engineers, designers, and data scientists who design and operate algorithmic coordination systems. This also includes any worker who can exploit the coordination logic to gain higher returns on their efforts. In contrast, below-the-algorithm workers are those whose tasks and productivity are primarily managed by algorithms. Rather than using algorithms to enhance their own output, these workers are allocated to jobs and managed and guided through algorithmic systems. Their work typically leaves little room for personal differentiation.

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In an algorithmically managed system, the higher value of technological augmentation is captured almost entirely by the owners and designers of the algorithm rather than by the workers operating below the algorithm. The automation vs augmentation distinction ceases to make sense when augmentation preserves the jobs, or even creates new jobs, but the worker doesn't adequately capture the resultant value.

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Fashion designers, for instance, do high-value knowledge work. They make creative calls and shape seasonal collections based on taste and cultural insight. Yet, as we noted earlier, a system like Shein can push fashion designers below the algorithm. The algorithm now utilizes social media signals and rapidly prototypes micro-trends to rank designs, rendering human designers mere cogs in a reactive production system. Their unique creative judgment is not valued by the system, which prompts them to execute designs around templates.

10 TAKEAWAYS

Jobs don't disappear because tasks vanish; they disappear because the architecture of work no longer needs them. Reskilling won't help if the role you're skilling for no longer fits the new logic of work.

1. Task-based frameworks for understanding the impact of AI on jobs often fail when AI restructures entire systems rather than just individual roles.
2. Reskilling isn't enough when the system that once valued those skills is being restructured.
3. It is possible for a task to resist automation and still be performed by workers, but the job that was built around it may no longer exist.
4. AI automation reduces economic value by eliminating scarcity, even if workers retain task performance.
5. AI coordination reshuffles contextual value by reorganizing workflows and who holds leverage.
6. Economic value depends on scarcity and relevance, not just skill or effort.
7. Contextual value refers to the importance of a task in determining system outcomes, regardless of the skill required.
8. AI challenges the long-held assumption that productivity gains will automatically translate into wage growth.
9. Operating 'above the algorithm' means shaping the system; 'below' means being shaped by it.
10. AI creates new choke points where contextual value concentrates, often outside traditional roles.

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where does value move when knowledge becomes abundant?

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Sommeliers rose to command greater value in a world where the product (wine) and the knowledge about it were getting commoditized. The sommelier is not an exception. They are an early signal of how work gets restructured and how we can still proactively redesign for relevance when the traditional basis of our authority has been flattened.

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A task-based view of work often leads us to ask which tasks will lose value once AI can perform them more efficiently and cost-effectively. In response, we try to shift toward other tasks that AI hasn't yet mastered, hoping that they will still hold economic value and command a skill premium. However, this mindset puts us in a constant race against the machine, always chasing the next task that AI can't take over. Our jobs, however, don't exist solely around the performance of certain tasks. Jobs, instead, are part of a larger system of work and are structured to resolve constraints in that system. When that constraint collapses, the logic for the role no longer holds. Every system of work has limiting factors that determine its overall performance. These limiting factors, referred to as constraints in systems theory, refer to the part of the system that determines how quickly or effectively the rest of the system can operate. The greater the limiting power of a constraint, the higher the value associated with managing it. Accordingly, the contextual value of a role is determined by its ability to resolve constraints in the larger system of work.

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Constraints, however, aren't simply eliminated from a system - they typically move to other parts of the system. As a constraint moves, the location of value shifts with it. Instead of focusing solely on tasks, we should ask: What new constraints appear in the system when AI eliminates older ones? If we can identify and address these new constraints, we gain contextual value in the new system, not just by executing tasks but by ensuring the system functions effectively.

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To understand how value shifts within an organization or across the larger economy, we first need to comprehend the various types of constraints that emerge in a system. Constraints can be categorized into three types: scarcity-based, risk-based, and coordination-based.

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Work is not simply a bundle of tasks but a response to constraints in a larger system, and when constraints shift, the value of work migrates with them.

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The assumption baked into most reskilling narratives is that skills are a scarce resource. But in reality, skills are only valuable in relation to the constraint they resolve. If the constraint moves and you chase new skills without understanding what friction you're trying to solve, you risk becoming very good at something that no longer matters.

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The sommelier repackaged their deep knowledge of wine around a new constraint: helping people feel confident in a moment of uncertainty.

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As AI takes over more routine image analysis, radiologists constantly rebundle their role by incorporating new activities.

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Machine learning can recognize patterns in scans, but it cannot evaluate the right trade-offs and deliberate across domains on new edge cases.

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When we apply this lens to the impact of AI on work, we note that AI removes constraints associated with the availability and accessibility of skilled labor. However, as these scarcities fall away, two new constraints emerge in their place: risk and coordination. New roles that emerge need to be structured around managing these new constraints.

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As the economic value of seafood itself declined, something interesting happened. Fugu - carefully-prepared seafood, which would otherwise be fatal - rose in value. Most luxury foods are defined by scarcity of supply, but fugu's scarcity lies in the scarce access to highly trained chefs who can manage the risk associated with eating the fish.

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As constraints on production or consumption are lifted, market activity accelerates. This acceleration often reduces control and increases risk. Airbnb lets anyone run an accommodation business, without the usual constraints associated with hotel ownership. As market activity exploded, it also brought in new risks related to unsafe properties and unruly guests. Value shifted to managing risk in this new system, through ratings and reviews, guarantees, and insurance. When technology removes scarcity-based constraints, it often introduces new risk-based constraints. Those who step in to manage the new constraint get to capture the value associated with it.

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As a new system takes off, activity within that system accelerates, and the interdependencies between its parts increase, leading to more potential points of failure. The system's success no longer hinges on how fast or how much it can produce, but on how reliably it can operate under uncertainty. Accordingly, managing risk in a rapidly growing system is of high value.

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When new technologies are adopted, our instinct is often to look for risks within the technology itself. In the case of AI, this typically involves concerns about model accuracy and cybersecurity threats. History teaches us, though, that the most enduring and valuable risk-management roles don't emerge from inadequate technology but from disruptions in the system.

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Every time a constraint is removed, the need for reliability and the ownership of liability shift to a different point in the system. Identifying and managing this as the new constraint is crucial to making the new system work and capturing value from it.

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As decisions shift from people to tools, as seen in the examples above, it becomes unclear who is responsible when something goes wrong. No single actor wholly owns the risk, even though the consequences of compounding bias and runaway automation are very real. These three factors lead to the emergence of risk-based constraints, elevating the importance of judgment as a countermechanism to manage that risk. Judgment is the ability to make the final call, weighing all pros and cons, and effectively bearing all risk associated with the outcome. Judgment is not simply intuition; it is the capacity to act under uncertainty, fully aware that you're accountable for the outcome. Judgment is why the anaesthesiologist still commands a skill premium even as related administering and monitoring equipment improve in capability. Judgment becomes crucial in unstable and uncertain environments. Judgment becomes important when AI-generated predictions and plausible answers are no longer sufficient to achieve the final level of clarity, where a decision must be made despite conflicting facts and incentives.

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You don't rely on someone's judgment because it's infallible, nor do you trust it because it can be measured or scored. You rely on it because you believe, based on past experience and social signaling, that their assessment of risk is trustworthy. Judgment is developed over time through making hundreds of irreversible decisions in unpredictable environments at financial and reputational risk.

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Judgment is a human advantage in the age of AI, made valuable by the emergence of risk-based constraints and by the trust others place in your ability to bear it well. As risk-based constraints emerge, new roles will emerge to navigate ambiguity and absorb the risks and consequences associated with AI deployment. These roles will command value not for the tasks they perform but for the liability they assume or help manage.

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We often overvalue answers and undervalue the framing of questions. In a world where AI generates abundant answers, this bias can be costly. We continue to reward knowledge holders, even when the value has shifted to those who can define the problem in the first place.

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Curiosity is not random inquiry. It is the disciplined ability to identify performance bottlenecks and to frame the right question before chasing an answer.

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In the age of AI, narrative control through curation will be more valuable than ever, preserving a distinctly human advantage.

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10 TAKEAWAYS

Work is not simply a bundle of tasks, but a response to constraints in a larger system. When those constraints shift, the value of work migrates. To stay relevant, workers must identify what is getting unbundled, locate the new constraint it creates, and rebundle new roles around managing that constraint.

1. When AI commoditizes skills, value shifts to new constraints within the system.
2. Reskilling is a tactical response to a strategic shift. Chasing new skills without understanding system-level changes leads to misaligned adaptation.
3. The value of skills depends on what constraint they resolve. Skills detached from the needs of the system lose their pricing power.
4. Jobs exist to manage constraints, not perform tasks. Roles hold value when they resolve the most limiting factor in a system.
5. As AI removes old constraints, new ones emerge in risk, coordination, and judgment.
6. New roles emerge by recombining capabilities to solve new system bottlenecks.
7. Rebundling creates new leverage in fragmented systems. When tasks are unbundled by automation, recombining them around new constraints restores value.
8. Rebundling works at every scale: role, workflow, and business model. What applies to sommeliers also applies to companies like Apple navigating music piracy.
9. When answers are abundant, asking the right questions and picking the right signals becomes key. Curiosity and curation are human traits that become more valuable.
10. Don't ask "What can't AI do?" Ask "What does AI break?" The next opportunity lies in the constraints AI creates, not the tasks it hasn't yet mastered.

The more autonomy you give to teams, the harder it becomes to coordinate across them. When Spotify was small, team autonomy worked well. However, as the company expanded and the number of independent teams increased, keeping them all coordinated became a greater challenge.

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When an organization uses AI as a technology of coordination, greater autonomy drives better coordination, and effective coordination, in turn, enhances autonomy, creating a self-reinforcing flywheel.

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Organizations rely on a range of mechanisms to deploy knowledge today - endless meetings, chats, emails - all to recreate lost context. In early 2023, Shopify made headlines by canceling all recurring meetings with more than two people, eliminating 76,500 hours of meetings in one stroke. It sounds like a bold move, but it risks attacking a symptom rather than solving the underlying coordination problem. You can't eliminate the coordination tax by eliminating meetings.

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Generative AI's ability to convert unstructured information into structured knowledge transforms how organizations create, store, and use knowledge.

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AI helps codify previously tacit knowledge and makes it usable across the organization. This eliminates much of the clerical burden that knowledge workers face. Instead of spending time documenting and codifying best practices, they can focus on analysis, judgment, and problem-solving. With models trained on internal data, knowledge becomes easily accessible, often one well-crafted prompt away, and can be proactively served into relevant workflows even when not explicitly requested by workers. Most importantly, AI tackles the most challenging part of knowledge work: the synthesis and deployment of organization-wide knowledge. It integrates scattered data, tacit understanding, and formal documentation into actionable insights.

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Parameter	Old organizational system	New AI rebundled organziational system
Coordination cost	Grows non-linearly with team count; managed through meetings, reporting, and overhead	Reduced through AI-enabled knowledge flow, synthesis, and workflow integration
Coordination approach	Explicit rituals (meetings, chat, check-ins); mostly manual	Continuous via AI-assisted workflows, agentic execution, and shared system intelligence
Autonomy-coordination tradeoff	Always a balancing act, as more of one reduces the other	Reinforcing loop, where autonomy and coordination strengthen each other
Knowledge management	Manual encoding, scattered storage, and clerical organization	AI captures, structures, and distributes knowledge across teams
Team structure	Siloed functions; coordination friction rises with scale	Modular, coordinated units with shared knowledge context and AI-aligned workflows
Organizational memory	Maintained by clerical staff and documentation practices	Continuously updated by AI; context-aware, queryable, and integrated into daily operations
Strategic use of AI	Task-level automation in isolated workflows	System-level coordination infrastructure enabling both execution and alignment
Decision-making	Centralized and slow; dependent on documentation and human judgment	Distributed and fast; guided by AI insights and contextual awareness
Team enablement	Dependent on training, documentation, and peer knowledge transfer	Enabled by AI codifying and surfacing tacit knowledge into actionable formats in real time

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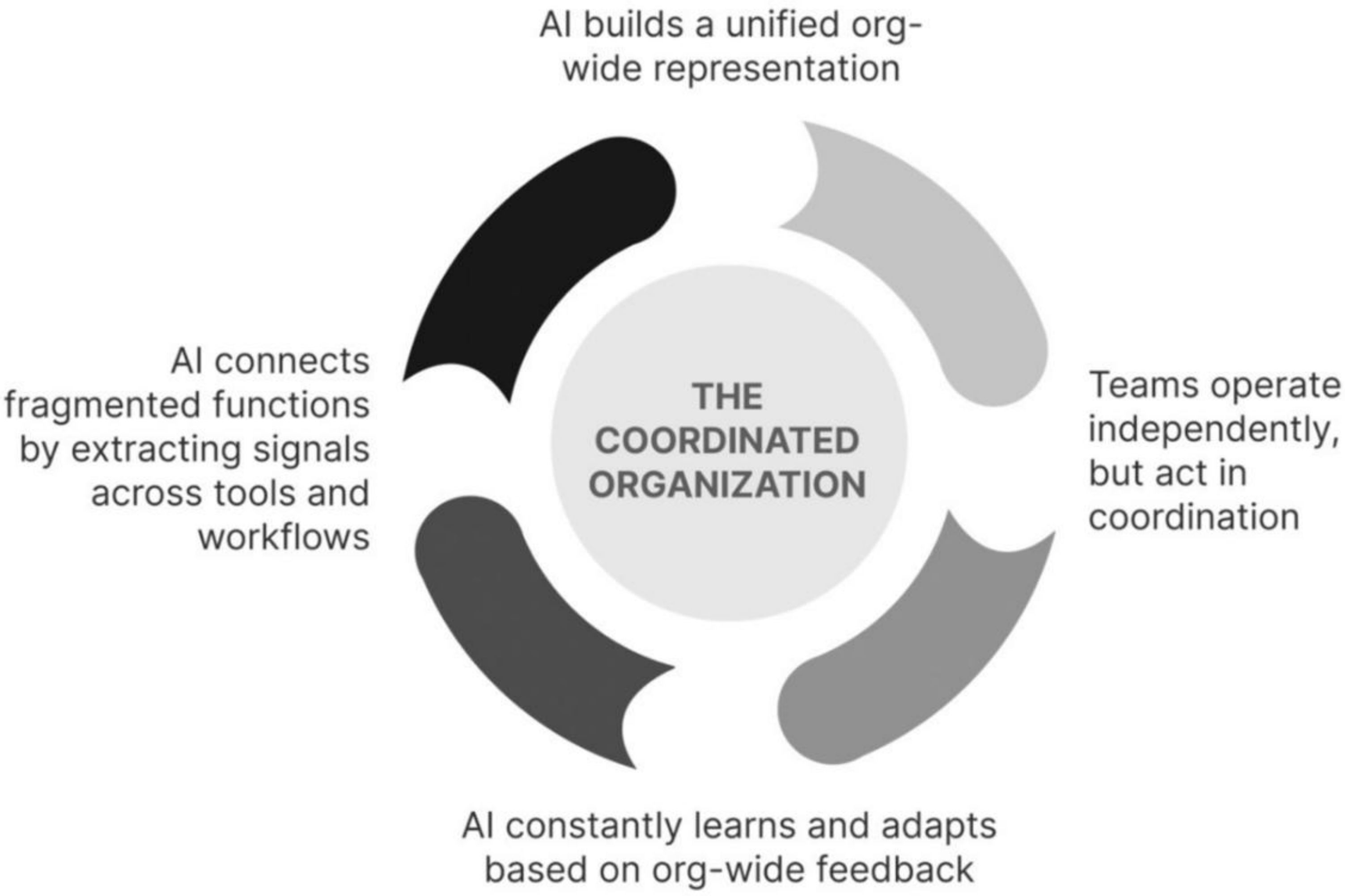

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10 TAKEAWAYS

AI dissolves the false trade-off between team-level autonomy and org-wide coordination. Rather than choosing between team freedom and organizational alignment, AI enables both to reinforce each other.

1. Talent without coordination can lead to failure. Even the most gifted teams underperform without a shared framework for coordination, as shown by Real Madrid's Galácticos.
2. In complex systems, effective performance depends on shared mental models, not just explicit communication rituals.
3. Systems can fail despite individual excellence. Real Madrid and NASA's Mars Orbiter show that when parts of a system work in isolation, even elite performers cannot prevent failure.
4. Autonomy and coordination have traditionally been in tension in organizations. More autonomy typically reduces alignment; more coordination slows execution.
5. AI breaks the autonomy-coordination trade-off, enabling a flywheel where increased autonomy improves coordination and vice versa.
6. AI transforms information into shared organizational intelligence, eliminating the clerical burden of knowledge work by synthesizing tacit knowledge from unstructured data.
7. Assistive execution enables workers to make faster and better decisions.
8. Agentic execution enables new decision architectures. AI can observe, decide, and act, enabling modular, goal-driven team design.
9. AI rebundles knowledge across organizational boundaries, enabling the emergence of new organizational forms.
10. The AI-powered organization is coordinated, not autonomous. True transformation isn't about replacing people with AI; it's about enabling smarter, more fluid coordination across the teams that make up the org.

When knowledge is unbundled from human labor and becomes accessible as capital, it gains three essential traits. It becomes rentable, as you can access it without long-term commitments. It becomes recombinable, since different forms of expertise can be recombined without the overhead of coordinating across siloed teams. And it becomes scalable: once a solution is built, it can be deployed repeatedly at near-zero marginal cost, unlike human labor, which scales linearly with cost. The availability of expertise as building blocks changes productivity, but more importantly, it changes power.

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AI adds two new ingredients to the solopreneur's toolkit. First, it allows individuals to leverage knowledge at scale without personally producing it. Specific forms of expertise are now available as building blocks, and it's easier than ever to recombine easily accessible expertise from across domains and create something new. Second, AI enables agentic execution, making the execution of knowledge-intensive workflows also available as a building block. Individuals can now achieve with a swarm of agents what only large organizations did in the past.

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In the old knowledge economy, expertise was the moat, and the harder it was to acquire, the more defensible it made your business. AI severs that link, making knowledge easy to access and hard to protect. The new moat is leverage: the ability to deploy, recombine, and scale knowledge in ways others can't.

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Entrepreneurial leverage comes not just from combining available building blocks into new configurations but also from creating building blocks of your own, by turning your unique skills into reusable components that others can leverage.

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The skills of background and voice actors have been turned into building blocks - rented, remixed, and reused by the studios that once employed them. The voice, like the face, becomes an asset detached from the performer. Without rights, residuals, or control, the worker becomes a one-time input in a machine that runs indefinitely. Their fate is shaped less by talent and more by their power. Without a strong personal brand or network capital, their income had traditionally been tied to the fact that their skills had to be delivered in person. Once AI unbundles that dependency, their leverage disappears.

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With business capabilities available as building blocks, the advantage lies in three broad areas - How well you rebundle these components to create new solutions, How well you scale these solutions using the leverage offered by the underlying capabilities, and How well you understand the logic of the platforms and markets you operate within and use them to your advantage.

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This illustrates a key principle of the building-block economy: rebundling determines what is possible, but constraint management determines what is viable. New solutions built from modular capabilities are only as strong as their weakest link. The more you rely on rented components, the more critical it is to anticipate where the system could break and design around that risk.

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10 TAKEAWAYS

In a world of rentable expertise, competitive advantage shifts from the ownership of expertise to the redesign of new solutions by rebundling building blocks around constraints.

1	The rise of cloud computing transformed capabilities into modular, on-demand components.
2	As industry lines blur and capabilities become cross-sector assets, businesses can now be assembled by rebundling rented building blocks.
3	AI unbundles expertise from labor, turning knowledge into scalable, rentable capital.
4	Competitive advantage now lies in how well you rebundle these commoditized components, not in owning them.
5	The same AI shift that empowers some creators also commoditizes others. Outcomes depend on control, not skill.
6	The ease of execution created by AI and modular platforms increases the risk of shallow, undifferentiated businesses.
7	Rebundled businesses require constraint management to remain viable; failure often stems from weak links rather than missing parts.
8	Positive constraints enable defensibility and coherence in otherwise commoditized systems.
9	Differentiation and leverage require deploying, recombining, and scaling knowledge in ways that others can't.
10	AI expands the asymmetry between those who simply use tools and those who design rebundled solutions around them. Strategic advantage now belongs to solution architects, not just skilled operators.

Using AI as an engine, TikTok built a social network that doesn't require a user's social graph.

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TikTok didn’t need to bootstrap a social graph like the other social networks had done before it. Instead, it inferred a behavior graph from scratch, one interaction at a time.

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On TikTok, a good video could go viral on its own, as the platform utilized AI to recommend engaging content, regardless of who created it. The platform didn’t care if a creator had a million followers or zero as long as viewers engaged with their content.

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Dimension	Traditional social networks (AI as tool)	TikTok (AI as engine)
Core architecture	Built around the social graph (who you know)	Built around the behavior graph (what you watch)
User onboarding	Requires building connections to get value	No connections needed, as value is delivered instantly through an AI-driven feed
Content distribution	Relies on the creator’s follower base for reach	Content goes viral based on engagement, not creator status
Constraints for performance	No deliberate constraints; performance comes from the user network	60-second limit imposed as a positive constraint to train AI and improve UX
Defensibility	Protected by network size and past user investment	Protected by algorithm quality and behavioral data flywheel

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Building around AI creates an advantage unless the AI belongs to someone else. In that case, it creates lock-in. The more you rely on someone else’s AI tool to power your business, the more control you hand over to the provider behind it.

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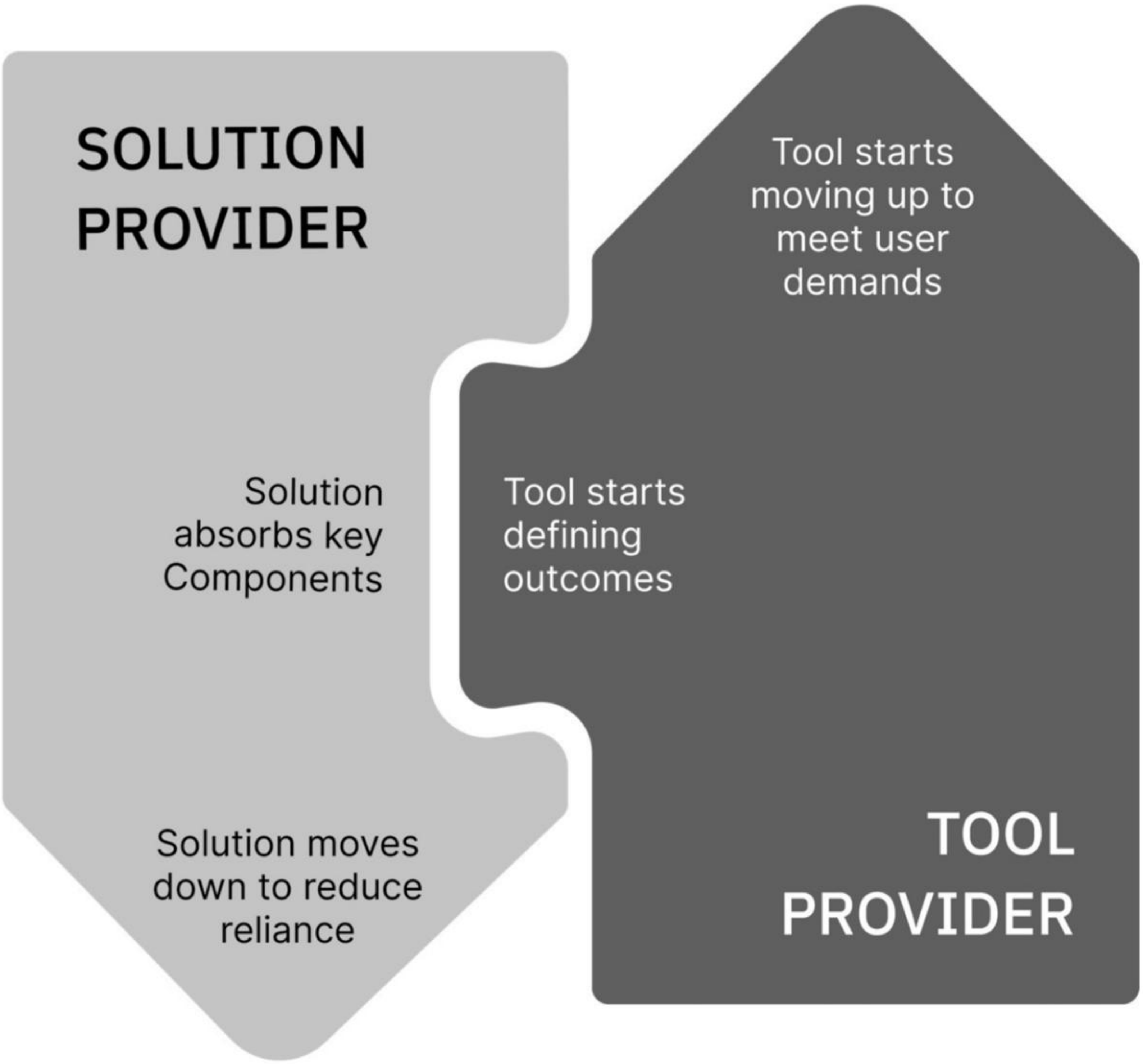

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The tensions between Uber and Google, and later Waymo, offer a preview of the competitive dilemmas that confront companies building their businesses on top of increasingly intelligent tools.

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AI tools can synthesize clinical reasoning by training across millions of case reports and research papers or improve legal analysis by training on a vast corpus of case law and internal firm documents. Once this domain-specific knowledge is absorbed, the collective memory of an industry can be repackaged into tools.

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This absorption of domain knowledge into tools is most clearly visible in agriculture. Farmers were once the custodians of local domain knowledge on soils, weather patterns, and planting schedules, which they acquired through hands-on experience and expertise. Today, companies like John Deere unbundle that knowledge from farmers and absorb it into their tools, subsequently bundling larger systems of operational coordination around these intelligent tools. At first glance, John Deere, whose tractors are familiar icons of agricultural work, looks more like a legacy tool provider rather than one using AI. But Deere has moved far beyond its initial business of selling tractors. Today, it offers a bundled farming solution that collects data from sensors embedded across its equipment and delivers prescriptive advice via proprietary software.

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As Deere absorbs more feedback across crops, geographies, and seasons, its models improve faster than any individual farm or third-party vendor can replicate. The system continues to improve, while the institutions using it – actors across the agricultural value chain -- remain constrained by annual planning cycles and limited data visibility. Over time, the locus of learning and improvement shifts from these institutions to the tool provider.

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Dimension	Tool providers	Solution providers
Core function	Build modular, reusable capabilities	Assemble and deliver customer-facing experiences using various components
Value creation	Capture value by powering performance across solutions	Capture value by bundling capabilities to solve a user's problem
Architecture	Horizontal utility; optimized for reuse across markets	Vertical integration, optimized for domain-specific performance
Learning scope	Learns across the ecosystem; gains from aggregate usage data	Learns only from its own operations and customers
Pace of innovation (Clockspeed)	Rapid (due to AI learning loops and capital inflows)	Slower (constrained by human workflows, regulation, and org inertia)
Power moves	Moves upward from utility to control point via integration and lock-in	Risks strategic dependence unless it moves downward into tool control or diversifies tool usage
Business model exposure	Gains leverage without assuming customer liability	Bears responsibility for outcomes and customer trust
Control of user experience	Indirect, through control of the performance-determining engine	Direct, with accountability for success/failure
Strategic leverage	May gain a compounding advantage via performance data and feedback loops	Must build defensibility around integration, not components alone

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The real opportunity in integrating back into tools, then, is not just to defend your current performance but to accelerate the advantages of future learning by owning the highest clockspeed layer.

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One of the most enduring advantages solution providers hold over most tool providers is their ability to guarantee not just performance but reliability to customers. Customers don't just buy functionality; they buy certainty.

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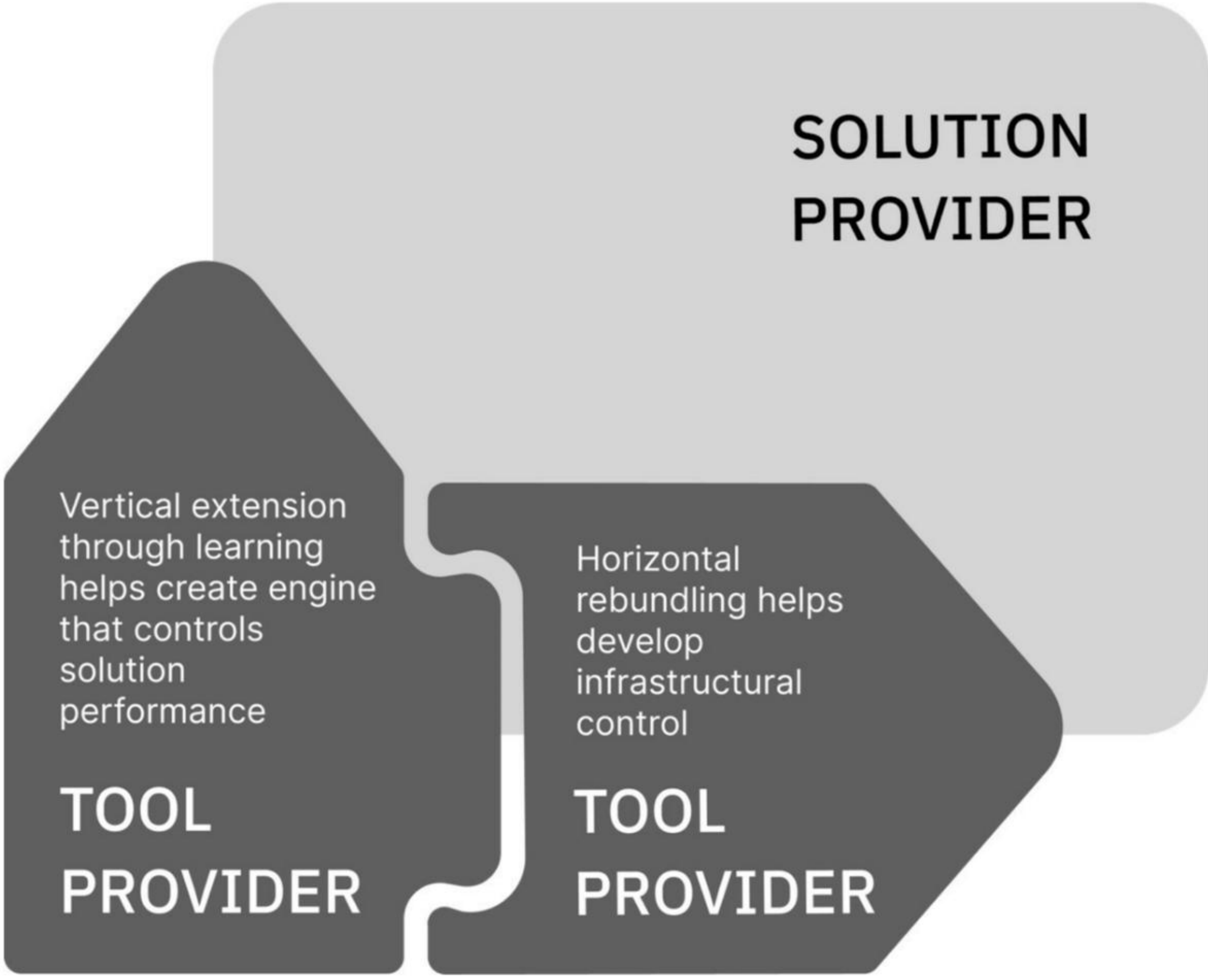

SOLUTION PROVIDER
Vertical extension through learning helps create engine that controls solution performance
TOOL PROVIDER
Horizontal rebundling helps develop infrastructural control
TOOL PROVIDER

10 TAKEAWAYS

As businesses build around powerful AI tools, they risk losing the very differentiation that made them valuable. Deep integration with third-party tools creates short-term gains but long-term lock-in, where switching becomes economically or operationally unviable.

1. Tools support execution; engines define performance. Using AI as a tool improves efficiency; using it as an engine redefines competition.

2. True performance gains come from coordination, not the strength of individual components. Like F1 cars, winning systems are designed around engines, not retrofitted with them.

3. If a tool determines performance, it must be treated as strategic, not operational. Owning tools that shape customer outcomes protects long-term advantage.

4. As AI tools become central, solution providers risk performance-based lock-in. The better the tool, the harder it becomes to walk away from it.

5. Integrating deeply with external tools shifts control away from the solution provider.

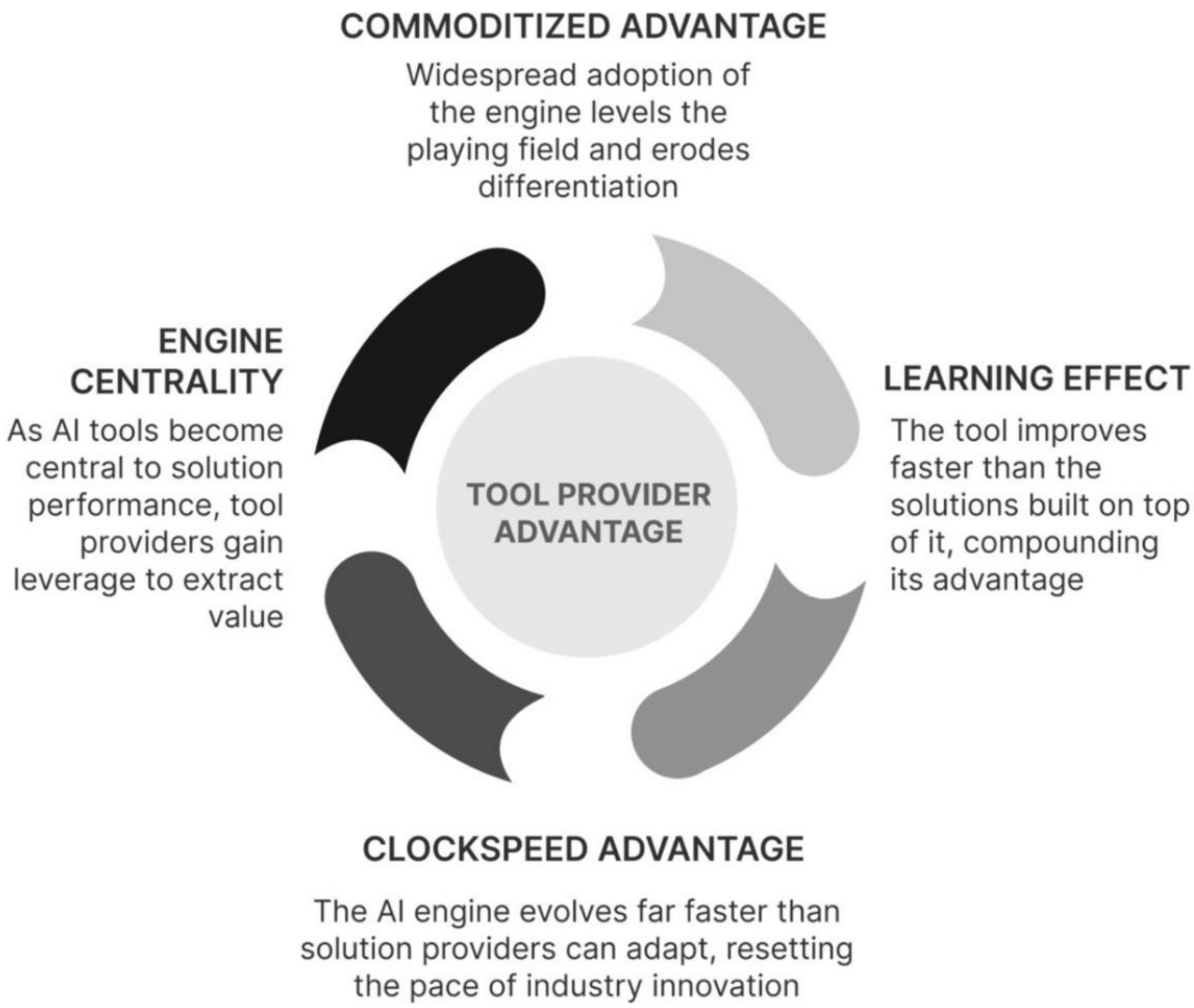
6. Tool providers gain pricing power as their tools become essential. The more central the tool, the more leverage the provider holds over margins.

7. Tool providers evolve faster than solution providers can adapt, capturing ecosystem leverage through learning effects, clockspeed, and scope expansion.

8. Tool providers expand their influence by spreading horizontally to capture workflow and extending vertically to control solution performance.

9. Not all tools need to be owned; only those that define competitive performance. Buy commodities, but build control points.

10. The right build-vs-buy decision today may become the wrong one tomorrow. Strategic exposure changes as tools evolve into engines or infrastructure.



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Tools amplify performance, but solutions absorb risk. And it is that absorption of risk that assures a customer of the solution's viability.

Stage	What happens	Who holds power
Assistive	AI tools improve solution provider performance	Solution provider uses tools to compete
Defining	Tool becomes the engine; performance depends on it	Tool provider shapes outcomes
Absorptive	Solution providers reorganize around the engine	Tool provider becomes gravitational center

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Formic's shift from selling robots to delivering outcomes shows what real solutions require: identifying constraints, managing them over time, and taking responsibility for performance in the real world.

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controlling performance is not the same as guaranteeing outcomes. To truly become a solution provider who can not just throttle performance but guarantee it, you need to move beyond the engine to think through other constraints that determine performance. It involves taking responsibility for the outcome as a whole. Managing tool performance is necessary but not sufficient. You must actively manage all relevant constraints to ensure that system performance aligns with customer expectations.

Dimension	Work-as-a-service	Results-as-a-service	Outcomes-as-a-service
Core promise	"We'll do the job reliably."	"We'll deliver the result you care about."	"We'll help you achieve your broader strategic goal."
Customer pays for	Units of usage (hours run, cycles completed)	Achievement of defined results (rock fragmentation spec)	Strategic outcomes (improved patient health, reduced costs)
Provider delivers	Reliable performance of a task or machine	Optimization of a customer-specific performance metric	Success in a business-critical goal
Risk assumed by the provider	Operational risk (uptime, maintenance)	Performance risk (quality of outcome)	Strategic risk (business impact, regulatory, or patient outcomes)
Data required	Real-time operational monitoring	Integration with customer workflows + performance feedback	Full context mapping (e.g., patient history, environmental variables, system-wide effects)
Complementary capabilities needed	Sensors, uptime guarantees, and repair ops	Domain expertise, customer integration, decision support	End-to-end solution bundling, governance, and accountability mechanisms
Business model	Subscription or per-use pricing tied to availability or runtime	Fee tied to measurable performance improvement	Shared savings, pay-for-performance, or outcome-contingent pricing
Strategic differentiation	From selling tools to ensuring performance	From executing work to guaranteeing improvement	From supporting performance to aligning with the customer's mission

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there's the ambiguity in measuring the results of knowledge work. In operational tasks, success is clear-cut, defined by uptime or throughput. Unlike uptime or blast fragmentation, there is no objective measure of a good contract or a sound legal opinion. Accountability becomes more complex owing to this ambiguity.

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Consulting, accounting, and legal firms are often hired because they take responsibility for the outcome and tie that responsibility to their reputation. Clients hire these firms for the assurance and accountability tied directly to eventual outcomes. If something goes wrong, these firms absorb some of the liability, reinforcing their role as trusted partners.

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tools often handle specific tasks with speed and accuracy that rival human experts. Yet, these tools don't address the fallout if something goes wrong. In effect, they unbundle the performance of these tasks from the assumption of liability associated with the outcomes. The firms still have to take on the risk, even though they didn't fully produce the work. If AI performs more of the underlying work, but the firm continues to carry the full burden of accountability, the economics and operating model of professional services will come under pressure.

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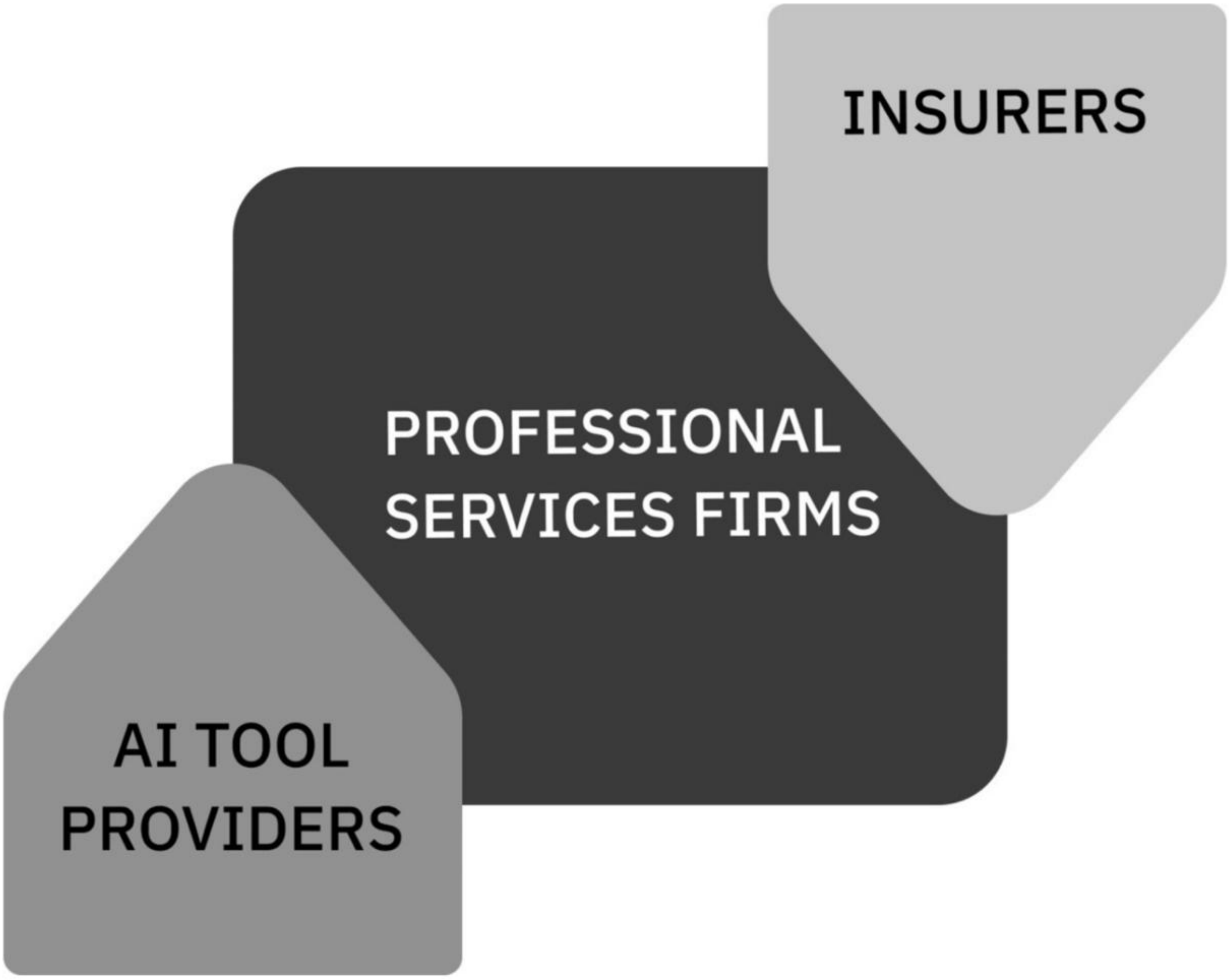

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insurers gain more power when the work in a field becomes standardized and easier to measure. With better data captured in partnership with AI tools, insurers can price risk more accurately. With this, the economic value associated with taking on liability moves away from solution providers to insurers.

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The real risk, then, depends on two factors: the level of specialization in the work and the degree of risk associated with it. Work that is both simple and low-risk is most vulnerable to a shift in value towards AI or insurers. For instance, a simple competitive analysis across products can be easily performed using tools and carries a lower risk. Advising a CEO on their capital allocation strategy is far more complex and comes with significant assumption of risk.

10 TAKEAWAYS

Value lies not in what a technology can do, but in how well it manages the constraints around it to reliably deliver results in the real world. Tool providers gain leverage through performance; solution providers earn trust by guaranteeing reliability.

1. Solution adoption is bottlenecked by constraints, not by performance. Even technically superior tools fail if adoption constraints aren't addressed.

2. Solutions absorb risk, while tools offload it. Tools push complexity to the customer; solutions manage it internally to deliver predictable outcomes.

3. Managing complements is as vital as managing the core product. For instance, without the right software and support peripherals, robotic manufacturing fails to deliver value.

4. The economic shift moves from selling products to delivering outcomes. The pricing models of Work-as-a-Service, Results-as-a-Service, and Outcomes-as-a-Service each represent higher levels of commitment and risk.

5. Outcome-based pricing requires ecosystem control. To charge for outcomes, providers must integrate deeply with other system elements and manage them over time.

6. AI tool providers risk being commoditized unless they move up the stack. Without owning outcomes, AI vendors are at risk of being low-margin, replaceable components.

7. Risk management is the new competitive moat. As tools become commoditized, firms that assume and manage risk become more valuable than those that perform tasks.

8. Insurance may become the new power center in knowledge work. As AI unbundles execution, insurers may step in to manage the liability, restructuring traditional professional services.

9. Tool providers must choose how far to climb. They face a trade-off: move up into solution territory and take on complexity, or stay limited and commoditized.

10. Success comes from managing just enough of the stack to shape outcomes. Owning the entire value chain isn't needed if you control the key layers that control performance and results.

As learning, work, and indeed all consumption become increasingly unbounded, people face a paradox. There is far greater individual choice in every dimension, but with that, there is also more confusion. The more options we have, the harder it becomes to make decisions that we feel confident about and that are aligned with our goals. AI offers a powerful solution by simplifying decision-making. It can absorb the nuance of our context - our goals, preferences, and constraints - and evaluate countless options on our behalf. In doing so, it delivers personalized, context-aware guidance we can trust, helping us make more informed decisions with less effort.

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Sephora follows a three-part playbook to manage this restructuring of power: helping customers make key decisions, locking them into its ecosystem, and earning money from the brands that want access to those customers. First, tools like Color IQ capture customers early by guiding purchase decisions. Second, loyalty programs, in-store exclusives, and digital engagement keep them coming back. And third, brands pay a premium for access to this highly engaged customer base.

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AI assistance, however, carries risk. If not managed carefully, AI assistance can expose brands to reputation damage and even create liability nightmares. Whether it’s beauty products or mortgages, the challenge for customers isn’t a lack of choice, but managing uncertainty about which one’s right for them. An AI assistant needs to provide answers that are trusted, accurate, and legally defensible.

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How do we organize fragmented credentials to meet the demands of a fast-changing job market?

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10 TAKEAWAYS

AI is a lot more than a tool for faster answers; it's a wedge for ecosystem control. AI earns trust by simplifying high-friction decisions. Whoever guides the customer at the moment of choice gains the control point and the power to reorient the ecosystem.

1. The customer journey is no longer linear. Smartphones, AI, and digital platforms have fragmented how people discover, decide, and buy.
2. Consumers now face choice overload as product unbundling creates more options but less clarity, increasing cognitive friction in every decision.
3. As customer journeys get unbundled and fragmented, power shifts from producers to providers of decision support.
4. The right to serve begins with addressing a hard decision. Trust is won by helping users through high-stakes, high-friction moments.
5. A control point forms at a high-friction decision node. Solving it gives leverage over customers and ecosystem partners. Once established, a control point is hard to displace and serves as a foundation for monetization.
6. Winning a key decision unlocks rebundling rights. Once trust is earned, companies can integrate across more steps of the journey and create gravity that pulls the rest of the ecosystem together.
7. Winning players rebundle fragmented choices into coherent experiences. When integrated into decision workflows, AI helps customers navigate options with less effort.
8. AI shifts power from relationships to intelligence. Data-rich AI assistants gradually centralize control from fragmented human intermediaries.
9. Deploying AI through experts reduces brand risk. Using professionals as a human buffer allows AI to learn safely while protecting brand reputation.
10. AI is a wedge to capture the control point. Once it earns trust, it can orchestrate entire ecosystems and rebundle services more effectively than incumbents.

The digital representation, sometimes also referred to as a digital twin, is a key requirement for solving coordination problems in any ecosystem.

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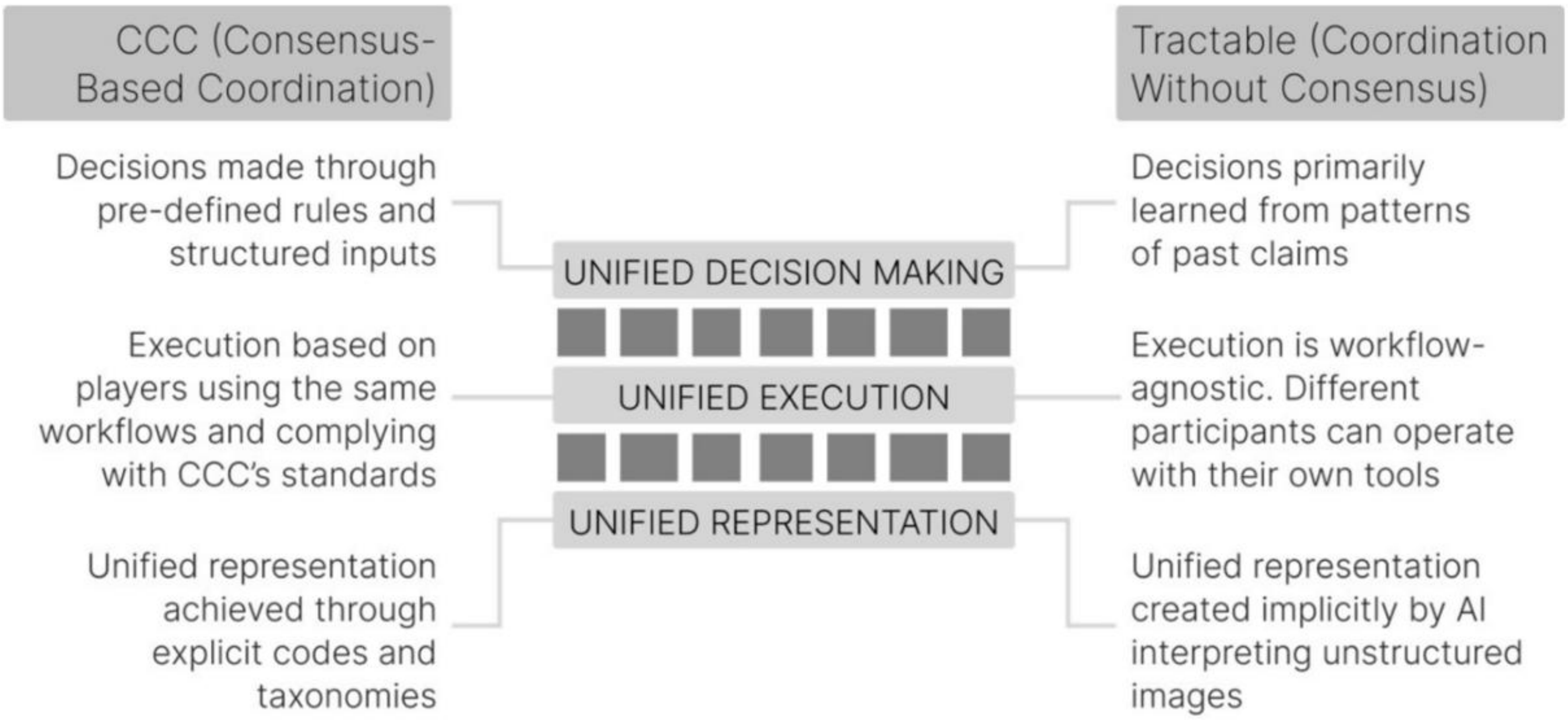

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Tractable’s AI learns from millions of past repair decisions, absorbing the collective judgment of adjusters, mechanics, and market behavior. These learned patterns effectively become implicit standards, without requiring anyone to formally agree to them. In short, CCC coordinates through standardization, such that everyone speaks the same language because they agreed to use the same codes. Tractable coordinates through interpretation, where every actor still speaks their own language, but AI translates across them. One model enforces structure to create order; the other learns structure from disorder. Both enable unified execution, but they differ significantly in how that coordination is achieved.

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Aspect	Coordination with consensus	Coordination without consensus
Core mechanism	Agreement on shared standards, formats, and workflows	AI interprets diverse inputs and creates shared structure without requiring prior agreement
Unification approach	Enforced standardization	Learned structure from data
Achieving unified representation	Common vocabulary and fixed taxonomies	AI-generated unified representation from unstructured inputs
Participation requirement	Must adopt shared tools, formats, and tagging conventions	Can continue using existing tools and formats
Adaptability across contexts	Rigid: tailored rules per ecosystem, hard to scale across domains	Flexible: adapts via learned patterns across domains and geographies
Execution model	Structured execution based on predefined workflows	Agentic execution: AI drives actions based on emerging context
Gaining adoption	Slow – needs upfront alignment	Fast – coordination starts without waiting for consensus
Nature of Control	Explicit control through rules and compliance	Implicit control through dependence on AI's interpretation and execution
Limitation	Hard to adapt or scale without renegotiating standards	Harder to assign liability or ensure accountability without formal agreements
Strength	High reliability and accountability once consensus is achieved	High flexibility, adaptability, and speed of coordination in fragmented or cold-start systems

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AI offers an opportunity for coordination in fragmented business ecosystems, where establishing consensus can be particularly challenging. The architecture and construction industry is one such example. Construction projects are typically highly fragmented as they involve multiple highly specialized professionals – architects, engineers, and contractors – each working with specialized tools specific to their discipline. Architects care about spatial relationships and aesthetics. Structural engineers focus on safety factors. Contractors prioritize project management. Each discipline has a tool that is dedicated to delivering performance for that discipline, but not always designed to deliver superior outcomes across the overall construction project. Coordination is desperately needed. Poor design choices discovered during construction can result in significant costs. Construction projects often deviate from their original specifications, and poor coordination between teams frequently leads to rework and performance issues in buildings. Efforts to get these diverse stakeholders to abandon their specialized tools and adopt a unified platform have repeatedly failed. Fig. 11.3: From fragmented execution to ecosystem-wide coordination AI offers a powerful solution to this problem: the ability to achieve coordination without consensus. Instead of requiring every team to adopt the same tools, formats, or standards, AI works with the reality of fragmentation. It pulls information from the tools that teams already use. The architect and structural engineer continue to work in their respective specialized tools. The construction project manager still maintains a schedule in Excel, while project approvals are scattered across long email threads and annotated PDFs. Each of these tools captures a different slice of the project in its own format, for its own purpose. AI extracts design requirements and project dependencies from all these fragmented sources and rebundles them into a unified representation of the entire project that integrates spatial, structural, and operational logic of the project across stakeholders.

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AI transforms coordination from a governance problem into a learning problem and, in this manner, helps secure a new form of ecosystem control.

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Most complex projects rely on cross-functional teams using siloed tools, and most tool providers have little incentive to cooperate or share data to facilitate easier coordination.

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AI enables rebundling of work across a fragmented landscape at three levels - by creating a unified representation across fragmented information, enabling unified decision-making across teams, and enabling unified execution across disconnected workflows.

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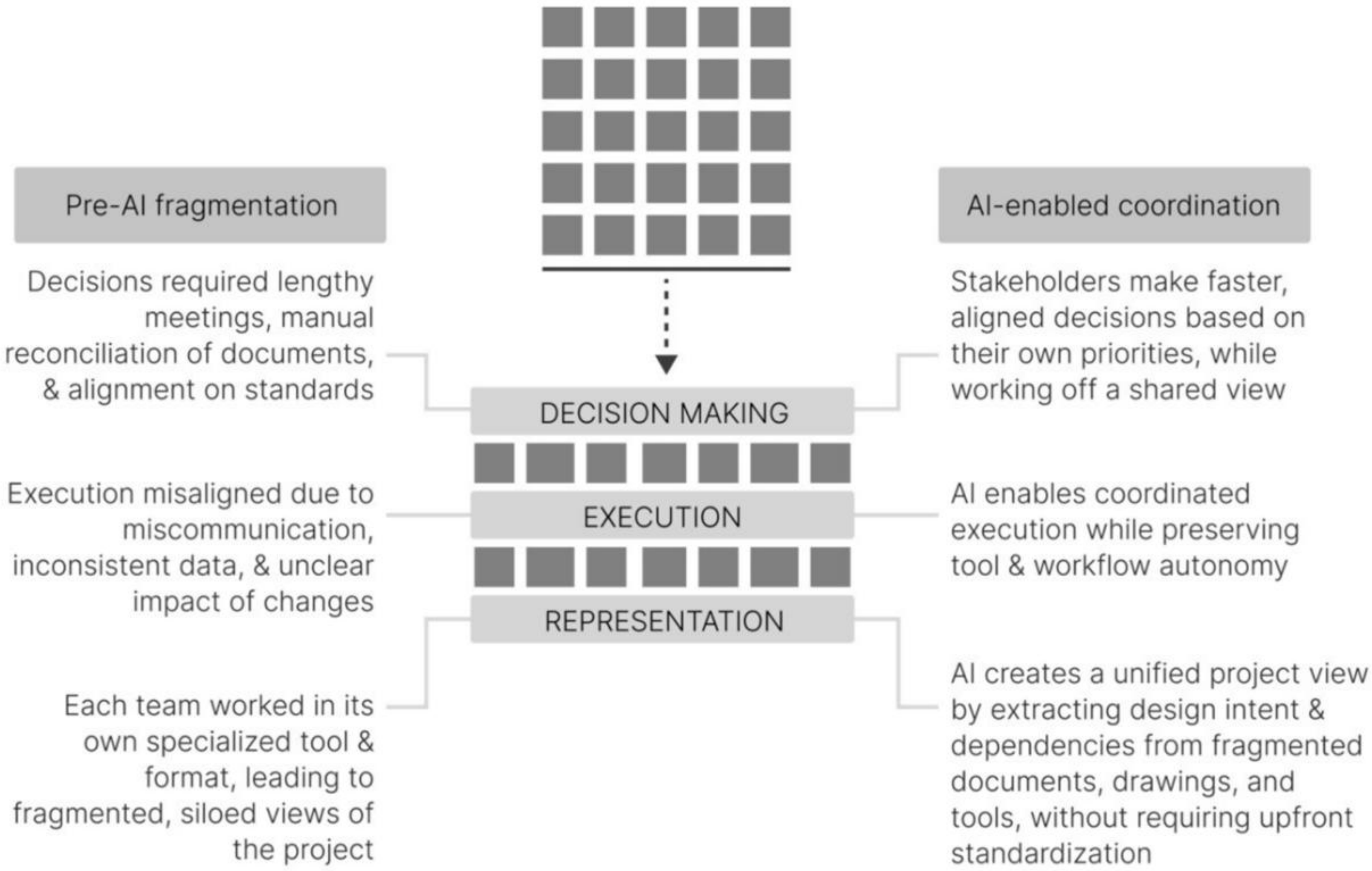

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What Ford's moving assembly line did for car production, AI-powered systems are now doing for knowledge workflows, coordinating activity around the user rather than forcing the user to coordinate activity.

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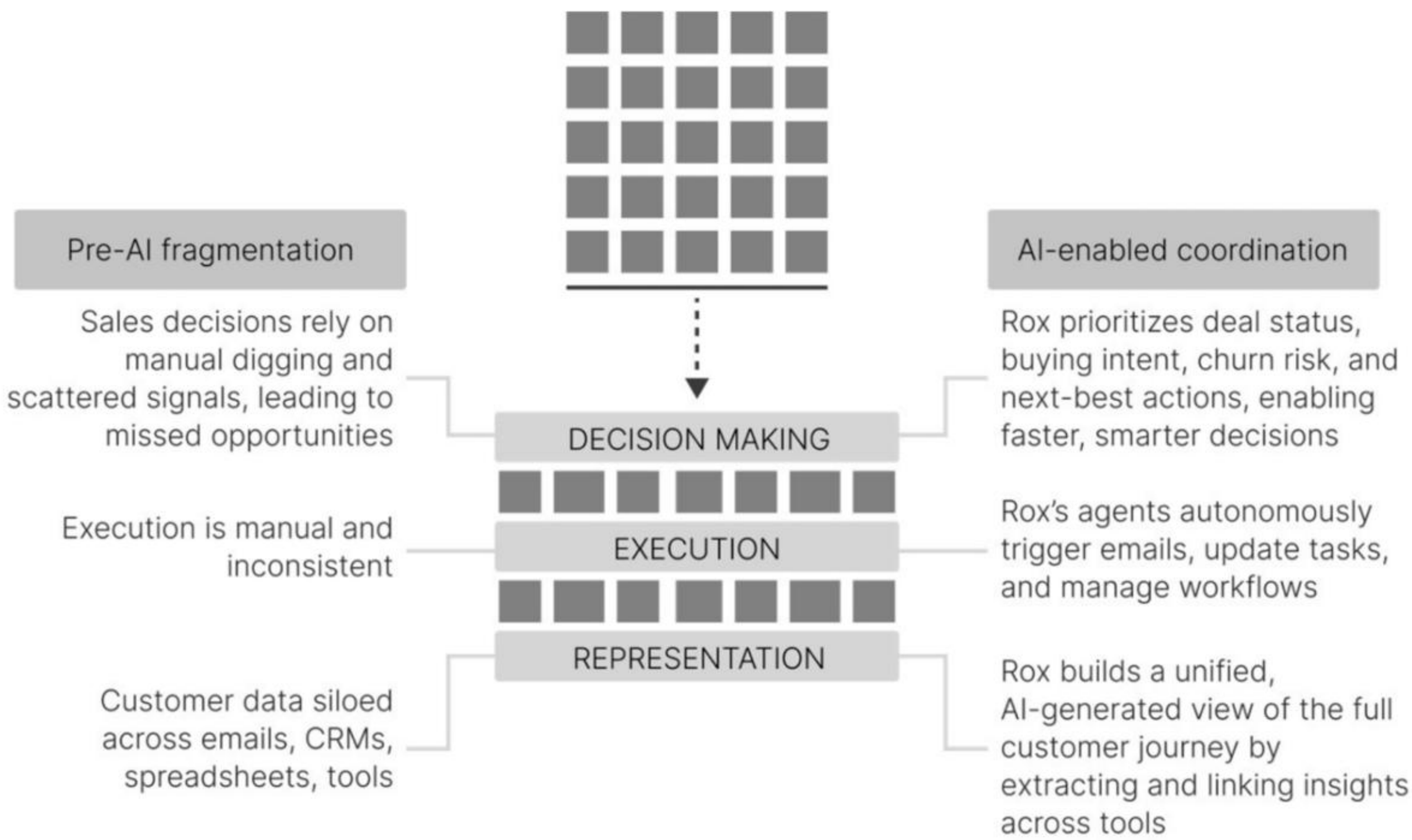

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True strategic advantage in the age of AI doesn’t come from doing old things faster. It comes from seeing how the system itself is changing, and then deliberately reshaping it to your advantage. Motion is not the same as direction. Unless you start with the system in mind, even the best tools will take you nowhere new.

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Don’t start by asking what AI can automate. Start by asking whether the competitive landscape itself has changed. Has the basis of value creation moved? Does your business model still make sense? From there, work inward: What new capabilities does this new game require? What roles and workflows still matter in the new system, and which ones have lost their edge? Only once that new system is clear should you turn to AI, no longer as a tool to improve the old game, but as a way to win the new one.

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10 TAKEAWAYS

Coordination without consensus enables ecosystems to function effectively without pre-existing standards. This shifts power to the player who eliminates ambiguity, empowering superior decision-making and execution across all actors. The ability to absorb complexity becomes the new source of ecosystem power.

1. Control is earned by solving coordination problems, not merely by owning interfaces. Modern control points emerge from managing how others coordinate, not just how they access the customer.

2. Dominance does not guarantee control, but dependence does. Ecosystem players must rely on you to deliver value.

3. Coordination without consensus enables ecosystems to form before formal agreements or standardization are established. AI enables coordination without consensus by learning structure from unstructured inputs.

4. AI eliminates the need for shared standards by enabling the interpretation of diverse inputs into a unified understanding.

5. A unified representation of fragmented information is the foundation for effective coordination. Once a shared understanding exists, AI can drive unified decisions across teams or partners. When AI also enables unified execution, the system begins to operate as a coordinated whole.

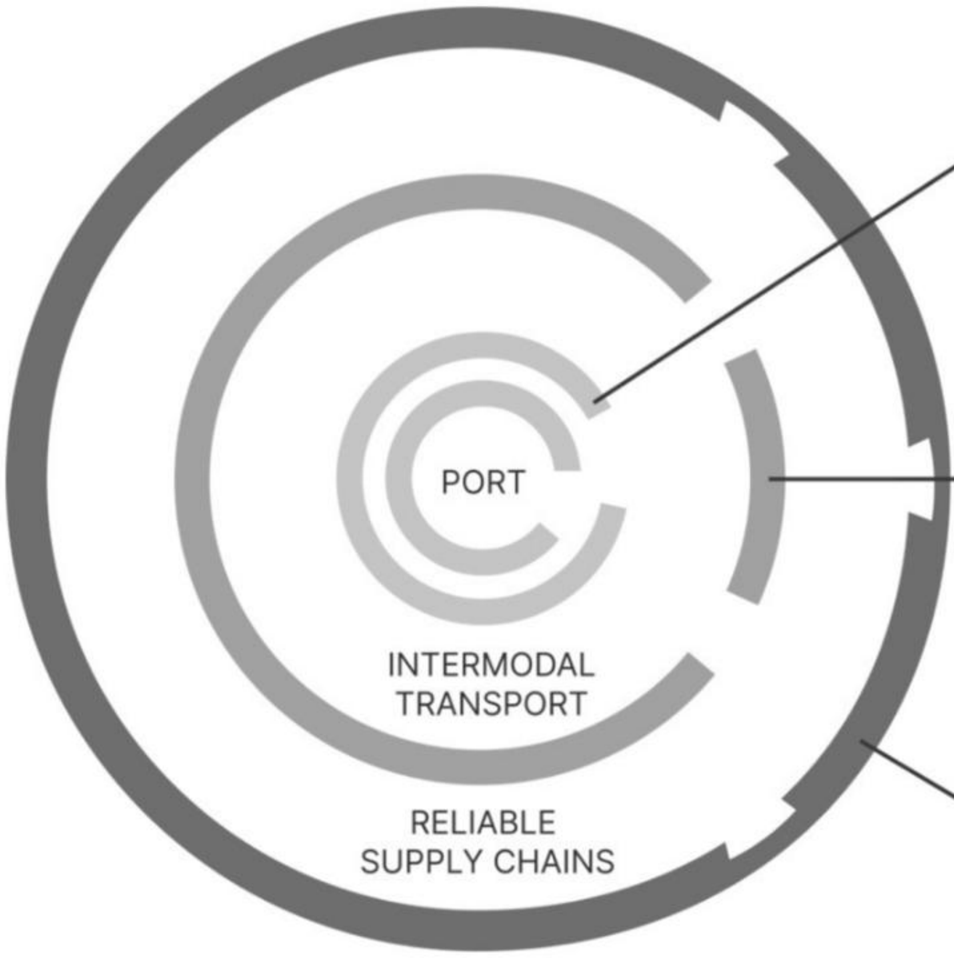
6. The player that governs how work flows across boundaries of teams, tools, or firms becomes the default coordination layer and the system's strategic anchor.

7. Rebundling eliminates the need to manually stitch work across tools as AI acts as the invisible connective tissue.

8. AI-driven systems gain power by orchestrating workflows, not by performing tasks faster. Advantage comes from managing interdependence, not improving components.

9. The cold start problem in ecosystems can be overcome when AI delivers value before participants standardize. Ecosystem growth accelerates when coordination creates immediate returns without upfront sacrifice.

10. Smart ecosystems, not smart tools, capture the long-term advantage in fragmented markets.



Scarcity:
Capitalized on its rare and strategic geographic location along a major shipping route, combined with early adoption of containerization technology to become a world-class port.

Coordination:
Transformed its port into a multimodal logistics hub by integrating sea, air, road, and rail transport with unified scheduling and customs, enabling cross-border trade coordination.

Risk:
Built trust by establishing transparent governance, anti-corruption measures, and clear regulatory institutions that reduced uncertainty and geopolitical risk for trade partners.

10 TAKEAWAYS

Strategy involves answering the questions of where to play and how to win. Coordination determines where you play. Control determines how you win.

1. Real competitive advantage comes from seeing how the entire system is shifting and redesigning your role within it, not just from deploying better AI tools.
2. Before considering strategy for the age of AI, companies must clarify where they play and how they can win.
3. Stable industry boundaries and fixed rules of competition no longer apply. AI constantly breaches traditional moats, creating new competitive landscapes.
4. Where to play is no longer just about picking markets or customer segments. It's about betting on new systems of coordination that AI enables.
5. How to win is no longer about building internal capabilities or owning scarce resources. As AI commoditizes expertise and knowledge work, competitive advantage shifts to establishing control points in the new system.
6. AI redefines which parts of value chains matter, creates new value creation models, and demands companies rethink both where they compete and how they win.
7. Business model innovation in the age of AI requires a nuanced understanding of what gains value and what loses value in the new system, as well as where new constraints emerge.
8. Understanding value and constraints creates the opportunity for rebundling new business models that confer an advantage to you.
9. Technological solutionism is a trap. Strategy requires foresight to anticipate systemic shifts.
10. Companies must start with an outside-in perspective, then work inward. Instead of starting by asking what AI can automate, firms should first analyze how the competitive landscape and value creation logic are shifting, then identify the new role they can play.